

Independent Valuation Study — Educational Analysis

ADNOC Logistics & Services plc (ADX: ADNOCLS)

Marine logistics and shipping group — integrated logistics, shipping and services · Abu Dhabi Securities Exchange · reports in US dollars, trades in UAE dirhams · analysis anchored on the closing price of AED 6.16 on 2026-08-07, with the cash-flow model built at 2026-03-31.

READ FIRST — what this document is. This is an educational valuation study. It contains no recommendation, no credit opinion on the shares and no forecast of where the price will go. What it contains is a fair-value range built from the company's own audited and reviewed financial statements, a sourced cost of capital and explicitly listed assumptions — together with a separate, probabilistic map of where the share price could trade over the next one and three months. The two are different objects and are never blended.

What a fair value is not. A fair-value estimate is a statement about what the business appears to be worth on the assumptions set out here. It is not a forecast of the share price and it carries no implied timeframe. A share can trade above or below an intrinsic estimate for years.

Two currencies, one company. The company reports in US dollars and its shares trade in UAE dirhams. Every number in this study is built in dollars, and converted to dirhams only at the final per-share line, at the fixed parity of 3.6725 dirhams to the dollar that the Central Bank of the UAE has maintained since 1997. Amounts are in US dollars unless a dirham sign says otherwise; per-share figures are in dirhams so that they can be compared with the screen.

The single largest uncertainty, and it is published both ways. Roughly half of this company's revenue is contracted work for its parent group and about a third of its 2026E earnings is exposed to spot shipping rates. The share's own price history gives a beta of 0.705, which is what a half-contracted business should look like. An asset-risk view says a fleet owner carries the risk of the market it trades in, whoever the customer is, and prices the equity at a beta of one. On the first the cash-flow model gives AED 8.40 a share; on the second, AED 6.16. Both are computed in full, both appear side by side in every table that matters, and they are never averaged into a single number.

Headline

ADNOC Logistics & Services is the marine logistics and shipping arm of the Abu Dhabi National Oil Company, listed on the Abu Dhabi Securities Exchange since June 2023. It runs three disclosed business units. Integrated Logistics — offshore contracting, offshore services and offshore projects — owns 33 jack-up barges and 40 offshore support vessels and works almost entirely for the parent group. Shipping owns 53 tankers, 20 gas carriers and a dry-bulk and container fleet. Services runs petroleum ports, bunkering and onshore logistics. Revenue was USD 5,016 million in FY2025, compounding +35% a year over the two years from FY2023, and the group earned USD 1,469 million before interest, tax, depreciation and amortisation.

The two halves of the business behave completely differently, and averaging them is the main way this company gets mis-valued. About 53% of 2026E revenue is already contracted with the parent group, against a long-term contracted revenue backlog of roughly USD 25.0 billion. The other half is a merchant fleet: 56 vessels trade at spot rates, and the company discloses that a change of USD 1,000 a day in what they earn moves group earnings by about USD 20 million a year. On the company's own disclosure 31% of 2026E earnings sits on spot rates, falling to 23% by 2029E as contracted gas and logistics capacity comes in.

That merchant half is having an extraordinary year. Very large crude carriers earned an average of USD 52,466 a day across FY2025; the company reported USD 145,000 a day in the first quarter of 2026 and indicated USD 260,000 for the second. The long-range classes moved the same way. The first quarter as a whole showed revenue of USD 1,083 million (-8% year on year, because low-margin chartered-in trading fell away), earnings before interest, tax, depreciation and amortisation of USD 368 million (+7%) and attributable profit of USD 203 million (+12%). Whether those rates hold is the whole valuation.

This study says they do not hold, and prices the fleet reverting over five years to the average of what it earned in FY2024 and FY2025. That is a judgement, and section 1.7 sets out the outside evidence for it. On that base, and on the share's own regressed beta, the four lenses centre at AED 7.94 against a market price of 6.16 — the price sits +29% the central estimate. Price the same cash flows at an asset-risk beta of one and the centre falls to AED 7.04, which is within a few fils of the market. The gap between those two numbers, AED 2.24 a share on the cash-flow lens alone, is larger than the entire span of the tanker-rate sensitivity. This study therefore does not present one answer; it presents the two answers and says exactly what separates them.

Valuation summary — every read at a glance

Read	Basis	Range (AED/sh)	Central	vs price
Discounted cash flow	five-year free cash flow to the firm, cost of capital gliding 7.3% to 6.5% on the share's own regressed beta of 0.705, terminal growth 2%; 84% of enterprise value comes from the terminal value	4.60 – 11.56	8.40	+36%
Relative multiples	a blended 11.10× enterprise value to earnings and 11.64× price to earnings on 2026E, weighted 70% to the enterprise measure	6.64 – 10.09	8.07	+31%
Normalised earnings power	the five-year average of the build's own earnings — USD 1,948 million before interest, tax, depreciation and amortisation — at the same blended multiples	7.02 – 10.63	7.69	+25%
Book value and sustainable return	a justified 2.71× book value on AED 2.52 of book a share at a sustainable return on equity of 16.9%	4.50 – 9.27	6.84	+11%
Weighted central	discounted cash flow 40% · relative 25% · normalised 20% · book 15%, on the share's own regressed beta	5.58 – 10.66	7.94	+29%
Market price	closing price on 2026-08-07	—	6.16	—
ALTERNATIVE READINGS — not included in the weighted central above				
Cost of equity on an asset-risk beta	the identical model and identical cash flows at a beta of one instead of 0.705 — cost of capital gliding 8.6% to 7.8%, and 80% of enterprise value from the terminal value. This is the study's central contested judgement and it is computed both ways in section 1.1; the weighted central on this construction is AED 7.04	—	6.16	0%
Rates hold near current levels	the same model with the fleet reverting to a rate anchor 30% above the 2024-2025 average rather than to it — the direction the company's own guidance points, and not this study's base (section 1.7)	—	10.22	+66%

Read	Basis	Range (AED/sh)	Central	vs price
Perpetual securities at coupon value	the same model deducting the perpetual capital securities at the present value of their coupon, USD 1,490 million, instead of their carrying value of USD 1,979 million (section 1.1)	—	8.64	+40%

The alternative readings are shown so that each genuinely contested choice carries a number the reader can see, rather than being averaged silently into the headline. They are deliberately excluded from the weighted central because each answers a different question — which beta a half-contracted fleet owner should carry, where shipping rates settle, and whether a perpetual security is a liability at face or at coupon — and blending them would hide the disagreement instead of showing it. Ranges are bear-to-bull within each lens; the central is the weighted base. The beta reading is the largest of the three: AED 2.24 a share separates the two constructions on the cash-flow lens, and both are carried at full size through section 1.1, the crux in section 1.7, the comparison in section 4 and the expert panel. Terminal value is 84% of the cash-flow model's enterprise value — a high share, disclosed here, again in the bridge, and stressed in section 1.9.

Company overview — ADNOC Logistics & Services at a glance

Item	Detail
Listed / parent	Listed on the Abu Dhabi Securities Exchange in June 2023 under the code ADNOCLS (ISIN AEE01268A239). The Abu Dhabi National Oil Company remains the controlling shareholder, and is also the principal customer
What it does	Three disclosed business units. Integrated Logistics covers offshore contracting (jack-up barges and accommodation on the parent's offshore fields), offshore services (support and supply vessels) and offshore projects (engineering, procurement and construction contracts). Shipping covers crude and product tankers, gas carriers, and dry-bulk and container vessels. Services covers petroleum port operations, bunkering fuel and water, onshore logistics and ship management
Fleet	53 owned tankers across five size classes, of which 45 trade at spot rates and 8 are on charters out at rates already fixed; 20 owned gas carriers, 15 of them on long-term contracts; 33 owned jack-up barges plus 12 chartered in; 40 owned offshore support vessels
Scale	FY2025 revenue USD 5,016 million; earnings before interest, tax, depreciation and amortisation of USD 1,469 million on the operating definition used throughout this study, or USD 1,515 million on the company's own reported definition, which adds the share of joint ventures and one-off items; attributable profit USD 839 million
How much is contracted	About 53% of 2026E revenue is already contracted with the parent group, against long-term contracted revenue of roughly USD 25.0 billion
How much is exposed to the market	56 vessels trade at spot rates. The company discloses that group earnings move about USD 20 million for every USD 1,000 a day change in the rate they earn, and that 31% of 2026E earnings and 23% of 2029E earnings sit on that exposure
Reporting and trading currency	Reports in US dollars; the shares trade in UAE dirhams at the fixed parity of 3.6725. The valuation runs in dollars and converts at the peg only at the per-share line, so no exchange-rate view is embedded anywhere in it
Shares outstanding	7,398 million ordinary shares
Market capitalisation	USD 12,410 million at the anchor price, or AED 45,575 million
Net debt	USD 420 million at 31 March 2026 — 0.23× the 2026E earnings this study forecasts, against the company's own stated medium-term target range of 2.0× to 2.5×
Perpetual capital securities	USD 2.0 billion of perpetual capital securities were issued in FY2025, carried at USD 1,979 million and priced at the secured overnight financing rate plus 125 basis points. They sit inside total equity in the accounts but rank ahead of the ordinary shares, so this study deducts them in the bridge — both at carrying value and at the present value of their coupon
Distribution policy	USD 341 million for 2026, paid quarterly, rising 5% a year to 2030 on the company's own stated policy — about 2.7% on the anchor price

Item	Detail
Tax	The UAE standard corporate rate is 9%. International shipping income is relieved, so the shipping units bore about 1% of their own pre-tax profit in FY2025 against 9% in Integrated Logistics and 4% in Services. The model taxes each unit at its own disclosed rate, and prices the top-up-tax risk separately in section 1.9

Two structural facts govern everything that follows. First, this is two businesses in one listing: a contracted, fee-like logistics operation that earns steady margins from a single creditworthy customer, and a merchant fleet whose earnings are set by a world market the company does not control. In FY2025 Integrated Logistics turned USD 2,529 million of revenue into USD 829 million of earnings, a margin of 32.8%; Shipping turned USD 2,125 million into USD 619 million, a margin of 29.1%. Second, the balance sheet is unusually light for an asset-heavy fleet owner: property, plant and equipment of USD 6,884 million is funded with net debt of only USD 420 million, because USD 2.0 billion of perpetual capital securities and a USD 0.5 billion parent facility sit between the fleet and the ordinary shares. How those securities are treated is the second contested judgement in this study, and it too is published both ways.

1 Fundamental valuation

1.1 The cash-flow model — the primary lens, with the full waterfall

The primary lens is a five-year free-cash-flow-to-the-firm model built at 2026-03-31, the date of the most recent reviewed balance sheet. Revenue is not a growth rate applied to a revenue line. Each of the seven units the company discloses is forecast on its own physical driver: the tankers vessel by vessel at the rate each size class earns, the gas carriers on contracted vessel-years at the day rate implied by their own revenue, and the remaining units on what they actually earned in the first quarter of 2026, annualised and grown. Section 1.6 sets the build out unit by unit. Cash flow is then taken all the way to present value, line by line, below.

USD mn	2026E	2027E	2028E	2029E	2030E
Revenue	4,589	4,725	4,942	4,966	4,906
Less operating costs	(2,729)	(2,802)	(2,909)	(2,960)	(2,986)
Earnings before interest, tax, depreciation and amortisation	1,860	1,923	2,033	2,007	1,919
margin on revenue	40.5%	40.7%	41.1%	40.4%	39.1%
Less depreciation and amortisation	(538)	(590)	(636)	(664)	(674)
Earnings before interest and tax	1,321	1,332	1,397	1,343	1,246
effective tax rate on the units	3.8%	4.1%	4.2%	4.4%	4.9%
Net operating profit after tax — earnings before interest and tax × (1 – t)	1,272	1,278	1,339	1,283	1,185
Add back depreciation and amortisation	538	590	636	664	674
Less capital expenditure	(1,375)	(1,245)	(1,245)	(700)	(650)
Less change in working capital	(137)	(17)	(30)	9	27
Free cash flow to the firm	298	606	700	1,256	1,235
Less the first quarter already inside the balance sheet	(130)	—	—	—	—
Free cash flow discounted	168	606	700	1,256	1,235
Cost of capital that year	7.15%	6.99%	6.83%	6.67%	6.51%
Discount factor	0.9495	0.8875	0.8307	0.7788	0.7312
Present value of free cash flow	160	538	581	978	903

Every line is computed, not typed. The waterfall runs earnings before interest, tax, depreciation and amortisation → depreciation and amortisation → earnings before interest and tax → net operating profit after tax → add back depreciation → less capital expenditure → less the change in working capital → free cash flow to the firm → discount factor → present value. Two conventions are visible in the first column and both are deliberate. The valuation date is 2026-03-31, so only three quarters of 2026 are discounted and the first quarter's own free cash flow of USD 130 million is removed rather than counted twice — it is already inside the net debt the bridge subtracts. And tax is charged unit by unit at each unit's own disclosed effective rate, which is why the group rate runs near 3.8% rather than the 9% statutory rate: international shipping income is relieved under UAE law and the shipping units bore about 1% in FY2025. Working capital is carried at the collection, inventory and payment cycle the FY2025 statements actually show.

The bridge from enterprise value to the equity

Line	USD mn	Note
Present value of the five forecast years	3,160	the sum of the present-value row above
Terminal-year free cash flow	1,001	2030E net operating profit after tax grown 2% and multiplied by one less the reinvestment rate of 17.1%; that reinvestment rate is forced to equal growth divided by the terminal return on invested capital of 11.7%, so the growth in the perpetuity is paid for rather than assumed free
Present value of the terminal value	16,238	the terminal cash flow capitalised at 6.5% less 2% = USD 22,208 million, discounted at the same year-five factor of 0.7312 that the year-five cash flow uses
Enterprise value of the operations	19,398	the two lines above
Terminal value as a share of enterprise value	83.7%	disclosed here, in the summary table and in section 7; stressed in section 1.9
Plus joint ventures and associates	493	carried at the reviewed 31 March 2026 book value with no uplift; these earn outside the consolidated cash flow, principally the six gas carriers held fifty-fifty and the bunkering associate
Enterprise value	19,891	
Less net debt	(420)	the reviewed 31 March 2026 figure: the parent facility, third-party borrowings and lease liabilities less cash
Less deferred consideration	(301)	deferred consideration on the staged acquisition, carried against the investment reserve — a real claim on the enterprise and treated as one
Less perpetual capital securities	(1,979)	at carrying value. They sit inside total equity in the accounts but rank ahead of the ordinary shares and carry a coupon of USD 97 million a year, so the ordinary shareholder does not own them. The alternative treatment is two lines below
Less non-controlling interests	(272)	the reviewed book value of the minority stakes, consistent with the 8.8% of group profit they took in the first quarter
Equity value attributable to ordinary shareholders	16,919	
Fair value per share (USD)	2.29	against a market price of USD 1.68
Fair value per share (AED, at the peg)	8.40	against a market price of AED 6.16 (+36%)
ALTERNATIVE — perpetual securities at the present value of their coupon	8.64	deducting USD 1,490 million, the coupon capitalised at the terminal cost of capital, instead of the USD 1,979 million carrying value. Worth AED 0.24 a share. The securities are perpetual and non-amortising, so which of the two is right depends on whether the company ever calls them; both are shown

The contested judgement, computed both ways

One choice in the construction above moves the answer more than every operating assumption in the study combined: which beta belongs in the cost of equity. The share's own

weekly returns, regressed against an equal-weight index of the Abu Dhabi names in this study's price library over its full listed history, give 0.705 — with 163 observations, an R-squared of 0.172, a standard error of 0.122 and a 90% interval of [0.50, 0.90]. That is a usable estimate and it is economically coherent: a listed crude and product tanker owner would normally sit at 0.9-1.4, a contracted marine services provider at 0.5-0.9, and this company is half of each. The opposing view is that a fleet owner bears the risk of the market its ships trade in whoever signs the charter, that three years of price history is a thin basis for a permanent discount rate, and that the equity should therefore be priced at a beta of one. Both are defensible. Both are computed.

Line	On the share's own beta	On an asset-risk beta of one
Beta used	0.705	1.00
Cost of equity	7.49%	8.93%
Cost of capital, explicit window	7.31%	8.63%
Cost of capital, terminal	6.51%	7.83%
Present value of the five forecast years (USD mn)	3,160	3,033
Present value of the terminal value (USD mn)	16,238	11,854
Terminal value as a share of enterprise value	83.7%	79.6%
Enterprise value (USD mn)	19,891	15,380
Equity value (USD mn)	16,919	12,407
Fair value per share (AED)	8.40	6.16
Against the market price	+36%	0%

Identical cash flows, identical bridge, one input different. The whole of the AED 2.24 between the two columns is the beta, and most of that lands in the terminal value: a 132 basis point difference in the terminal cost of capital changes the capitalisation factor on a perpetuity by roughly a quarter. The two columns are never averaged. A reader who believes the price history is telling the truth about this company's risk should use the left column; a reader who believes a fleet owner cannot escape its market should use the right one. The market price currently sits almost exactly on the right column.

1.2 Book value and sustainable return — the asset lens

Equity attributable to ordinary shareholders was USD 5,074 million at 31 March 2026, or AED 2.52 a share — the figure excludes the perpetual capital securities, which the accounts include inside total equity but which do not belong to the ordinary shareholder. The return on that equity ran 14.1% in FY2023, 15.4% in FY2024 and 16.8% in FY2025, and the five forecast years average 16.9%, which is the sustainable rate used here.

A justified price-to-book multiple is the sustainable return on equity less growth, divided by the cost of equity less growth. At 16.9%, 2% growth and a cost of equity of 7.49% that gives 2.71× book, or AED 6.84 a share. The bear bound of AED 4.50 takes the same construction at a beta of one and a return 15% lower; the bull bound of AED 9.27 takes a lower country charge and a return 15% higher. The lens carries the lowest weight of the four, at 15%, because a book multiple derived from a cost of equity inherits the same contested beta as the cash-flow model, and because carrying value is a poor description of what a fleet is worth.

On that last point there is one piece of hard evidence, and it is worth more than any amount of argument. In January 2026 the company completed the sale of a 2017-built very large crude carrier for USD 111 million against a carrying value of USD 83 million — a realised market value of 1.34× book, on its own asset, disclosed in its own earnings release. That tells the reader which way this lens is biased. Carrying values understate realisable value, so a book-based read of this company is conservative rather than neutral, and the gap is not small: applied across the fleet, a 1.34× ratio would lift the asset base by roughly a third. It is a single

transaction on a single vessel in a strong market and it is not extrapolated into the valuation — but it is the only direct evidence available on the gap between the balance sheet and the market, and it points one way.

Line	Value
Equity attributable to ordinary shareholders at 31 March 2026 (USD mn)	5,074
Book value per share (USD)	0.6858
Book value per share (AED, at the peg)	2.52
Sustainable return on equity, the five forecast years	16.9%
Cost of equity	7.49%
Long-run growth	2%
Justified price to book	2.71×
Fair value per share (AED)	6.84
Range — bear 4.50 at a beta of one and a lower return, bull 9.27 at a lower country charge and a higher return	4.50 – 9.27
Memorandum — the price the market pays for that book today	1.76×
Memorandum — realised value against carrying value on the January vessel sale	1.34×

1.3 Relative multiples

There is no clean comparable for this company, and the reason is the same reason it is interesting: nothing else combines a contracted logistics arm working for a national oil company with an open-market tanker fleet. The frame used here therefore takes two multiples from two different kinds of shipowner and blends them on the company's own disclosed exposure, rather than picking one peer and pretending it fits.

Company	Market	Business model	EV / earnings	Price / earnings	Price / book
Qatar Gas Transport (Nakilat)	Qatar	long-term contracted gas shipping	12.26×	13.97×	1.65×
Frontline plc	Oslo / New York	spot crude tankers	8.96×	6.44×	—
International Seaways	New York	spot crude and product tankers	8.10×	—	—
ADNOC Logistics & Services	Abu Dhabi Exchange	half contracted logistics, half merchant fleet	8.67× trailing / 7.06× on 2026E	15.97×	1.76×

The contracted-fleet multiple of 12.26× comes from the long-term contracted gas shipowner; the spot multiple of 8.53× is the average of the two listed spot tanker owners. Peer figures are as published on the dates recorded in this study's source register, and the company's own trailing multiple uses the operating earnings definition used throughout, not the company's own wider reported one.

Measure	Value	Comment
Contracted-fleet multiple	12.26×	the long-term contracted gas shipowner — the closest listed analogue to the logistics and gas-carrier legs, which earn under long contracts with a single strong counterparty
Spot-fleet multiple	8.53×	the average of two listed spot tanker owners — the closest analogue to the merchant fleet, and it trades several turns lower precisely because its earnings are not contracted
Weight on the spot multiple	31%	the company's own disclosed share of earnings exposed to spot rates in 2026E — the weighting is taken from the company rather than chosen
Blended enterprise multiple	11.10×	applied to 2026E earnings of USD 1,860 million

Measure	Value	Comment
Blended price-to-earnings multiple	11.64×	applied to 2026E attributable profit after the perpetual coupon of USD 1,013 million
Value on the enterprise multiple (AED/share)	9.02	
Value on the earnings multiple (AED/share)	5.85	materially lower, because depreciation on a young, recently expanded fleet and the perpetual coupon both fall between the two measures — the reason this lens weights the enterprise measure more heavily
Weighted value (70% enterprise / 30% earnings)	8.07	the enterprise measure carries more weight because it is the standard measure for a capital-intensive fleet owner and neutralises differences in leverage, depreciation policy and tax relief across the comparators
Range	6.64 – 10.09	the whole group at the spot multiple, and the whole group at the contracted multiple — the two corners the blend sits between

Sum of the parts — the same multiples, applied where they belong

Applying one multiple to the whole group is the mistake the frame above is trying to avoid, and there is a cleaner way to say so: value each business unit on the multiple that fits it and add them. The two contracted legs — Integrated Logistics and Services — earn under long-term contracts with a single strong counterparty and take the contracted-fleet multiple. Shipping takes a blend of the contracted and spot multiples, weighted by the company's own disclosed share of earnings exposed to spot rates. This is a cross-check on the relative lens rather than a fifth lens, and it is excluded from the weighted central, but it is the construction that honours the fact that this company runs contracted work and market-exposed shipping side by side.

Business unit	2026E earnings (USD mn)	Multiple	Enterprise value (USD mn)	Why that multiple
Integrated Logistics	668	12.26×	8,193	a contracted-fleet multiple, because this leg earns under long-term contracts
Shipping	1,120	11.10×	12,438	a blend of the contracted and spot multiples, weighted by the company's own disclosed share of earnings exposed to spot rates
Services	71	12.26×	871	a contracted-fleet multiple, because this leg earns under long-term contracts
Enterprise value of the operations	1,860		21,502	the three legs added
Plus joint ventures and associates			493	at reviewed book value
Less net debt and deferred consideration			(721)	the same bridge lines as the cash-flow model
Less perpetual capital securities			(1,979)	at carrying value
Less non-controlling interests			(272)	
Equity value			19,023	AED 9.44 a share (+53% the market price)

The sum of the parts lands at AED 9.44 against the blended relative lens at AED 8.07, and the difference is almost entirely the earnings measure the multiple is applied to rather than the multiples themselves: the sum of the parts applies each multiple to that unit's own earnings before any group cost, while the blended lens applies its multiple to

the consolidated figure and then averages an enterprise measure with an after-tax earnings measure. Both are disclosed. Neither is included in the weighted central, which rests on the cash-flow model and the three lenses beside it.

1.4 Normalised earnings power — what the group earns in an ordinary year

The question this lens asks is what the company earns in a year that is neither the rate spike of 2026 nor the trough that followed the FY2024 peak. The answer used here is the five-year average of the build's own output: earnings before interest, tax, depreciation and amortisation of USD 1,948 million and attributable profit after the perpetual coupon of USD 1,018 million. That average is taken across a path that starts far above mid-cycle and ends below it, so it is a genuine normalisation rather than a disguised extrapolation of the good year.

Line	Value
Average earnings before interest, tax, depreciation and amortisation over the five forecast years (USD mn)	1,948
Against FY2025 actual (USD mn)	1,469
Against the 2026E build (USD mn)	1,860
Average attributable profit after the perpetual coupon (USD mn)	1,018
Normalised earnings per share (USD)	0.1376
At the blended enterprise multiple, through the bridge (AED/share)	9.51
At the blended 11.64× price-to-earnings multiple (AED/share)	5.88
Fair value per share — the average of the two (AED)	7.69
Range — the whole group at the spot multiple, and at the contracted multiple	7.02 - 10.63

The two constructions disagree by a wide margin — AED 9.51 against AED 5.88 — and the gap is depreciation and the perpetual coupon. This is a young fleet: depreciation runs at about 29.0% of earnings before interest, tax, depreciation and amortisation across the forecast, so an enterprise measure and an after-tax earnings measure will never agree on a company like this. Averaging them is a deliberate refusal to pick, and the lens carries 20% weight accordingly.

1.5 Synthesis — four lenses, one field

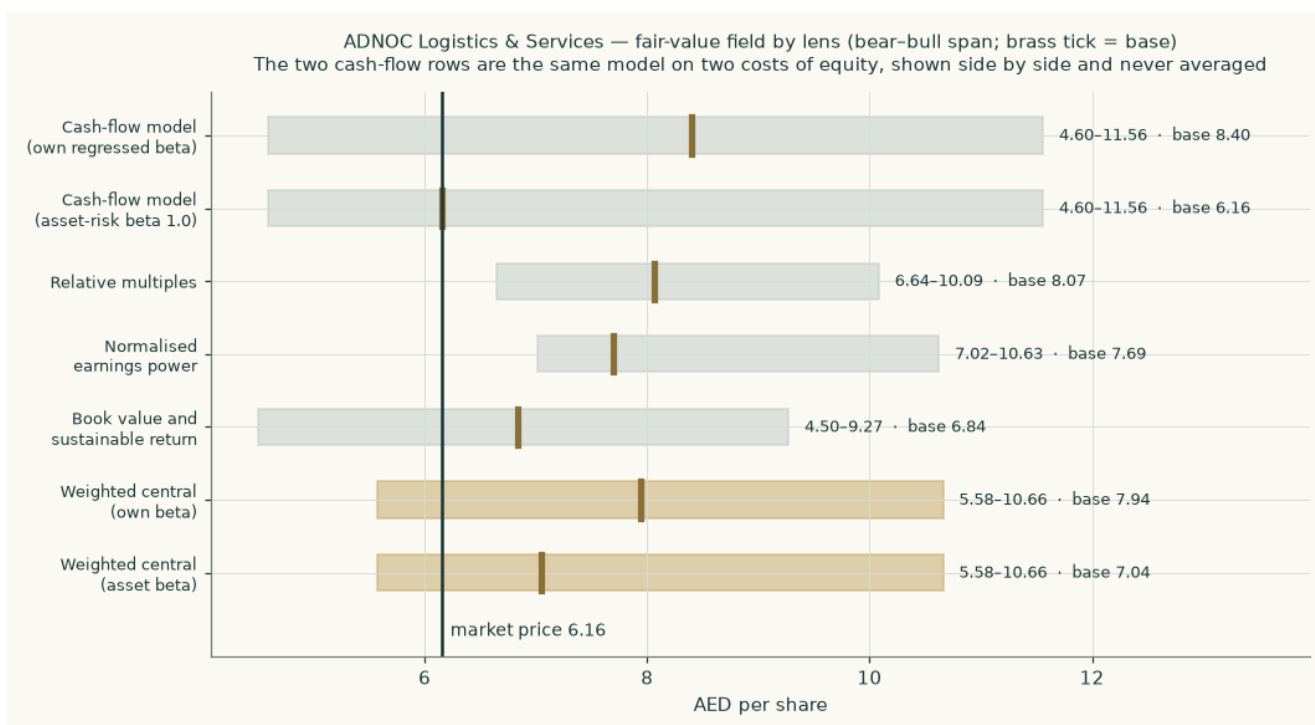


Figure 1 — the four lenses, both cost-of-equity framings and the two weighted centrals, against the market price of AED 6.16. Each bar is that lens's bear-to-bull span; the brass tick is its base case. The top two rows are the same model on two betas.

Lens	Bear	Base	Bull	Weight	Contribution
Cash-flow model — own beta	4.60	8.40	11.56	40%	3.36
Relative multiples	6.64	8.07	10.09	25%	2.02
Normalised earnings power	7.02	7.69	10.63	20%	1.54
Book value and sustainable return	4.50	6.84	9.27	15%	1.03
Weighted central — own beta	5.58	7.94	10.66	100%	7.94
Cash-flow model — asset beta	4.60	6.16	11.56	40%	2.46
Weighted central — asset beta	5.58	7.04	10.66	100%	7.04

The four lenses do not agree and the disagreement is informative. The two that price earnings through a multiple — relative and normalised — land at AED 8.07 and AED 7.69, both above the market. The book lens lands at AED 6.84. The cash-flow model lands at AED 8.40 on the share's own beta and AED 6.16 on a beta of one. Notice what that means: the multiple-based lenses import a cost of capital rather than state one, and the two comparators they import it from are themselves a contracted shipowner and a pair of spot tanker owners, so they already carry an implicit answer to the same beta question the cash-flow model asks explicitly. The weighted central of AED 7.94 on the own-beta construction and AED 7.04 on the asset-beta one bracket the market price rather than pointing at it, which is the honest description of what this evidence supports.

1.6 The drivers — every disclosed unit grown on its own driver

The company discloses seven operating units inside its three reported business units, with revenue, direct cost and earnings for each. The forecast is built at that level and summed; nothing is grown at the group line. Where a physical driver is disclosed it is used, and where it is not, the finest level the disclosure supports is used and the gap is stated.

The seven disclosed units, historically

Unit	Business unit	FY2023 rev	margin	FY2024 rev	margin	FY2025 rev	margin
Offshore Contracting	Integrated Logistics	975	44%	1,108	45%	1,369	46%
Offshore Services	Integrated Logistics	501	19%	553	24%	629	28%
Offshore Projects	Integrated Logistics	157	7%	620	9%	531	5%
Tankers	Shipping	407	39%	517	46%	1,720	26%
Gas Carriers	Shipping	174	58%	153	57%	180	72%
Dry-Bulk and Containers	Shipping	258	23%	287	24%	225	17%
Services	Services	284	16%	312	18%	362	17%
Group		2,755	31%	3,549	32%	5,016	29%

Revenue in USD million; margin is that unit's own earnings before interest, tax, depreciation and amortisation over its own revenue, all taken from the operating segments note. The Tankers line tells most of the story of the last three years: revenue more than tripled from FY2024 to FY2025 as the acquired fleet consolidated, while the margin fell from 46% to 26% because much of that revenue is low-margin chartered-in and relet trading that grosses up the revenue line without adding to earnings.

How each unit is driven

Unit	Driver
Tankers	Vessel by vessel. 53 owned tankers in five size classes, of which 45 trade at spot rates and 8 sit on charters out at disclosed fixed rates that roll off through 2027. Each class earns its own rate: 2026 is built from the rate the company reported for the first quarter, the level it indicated for the second, and a second half stepped halfway back to the FY2025 average; from 2027E the rate glides over four years to the mid-cycle anchor, the average of the FY2024 and FY2025 outcomes. Running cost is USD 9,355 a vessel-day, solved so that the owned fleet's earnings reproduce the reported FY2025 result, escalated 2% a year on wages and technical management — a services escalator, not a commodity index, because those are the physical drivers of the line
Gas Carriers	Contracted vessel-years × day rate. The company's own contract table gives 10.8 consolidated vessel-years in 2026 rising to 25.0 by 2029 as the ethane and Ruwais carriers enter service. Per-vessel rates are not disclosed, so the day rate of USD 61,573 is solved from reported FY2025 revenue over vessel-years — the finest level the disclosure supports, and flagged as solved rather than sourced. Margin held near the FY2025 outcome, since 15 of 20 owned vessels sit on long-term contracts
Offshore Contracting	First-quarter revenue annualised, then 4% a year as further jack-up barges and support vessels are deployed on the contracted programme. The 2026 margin is the first quarter's own margin before the one-off receivable provision, recovering toward the 2025 level as utilisation normalises.
Offshore Services	First-quarter revenue annualised, then 5% a year on the support-vessel fleet growth already under way. Margin held at the level the first quarter delivered.
Offshore Projects	The company's own stated range of USD 100-150 million of engineering and construction revenue for 2026 after the large island project completed, then a recovery as new awards replace it. This is the least visible line in the model.
Dry-Bulk and Containers	First-quarter revenue annualised and grown 2% a year; the container vessels sit on a fifteen-year contract and the bulk carriers earn charter rates that have been recovering.
Services	First-quarter revenue annualised and grown 4% a year. The margin reflects the warehouse activity moved into this unit and the growing profit share from the bunkering associate.

What the build produces — margins as outputs

USD mn	2026E	2027E	2028E	2029E	2030E
Integrated Logistics — revenue	2,036	2,194	2,331	2,446	2,566
Integrated Logistics — margin	33%	34%	35%	35%	34%
Shipping — revenue	2,197	2,161	2,227	2,120	1,924
Shipping — margin	51%	51%	52%	51%	50%

USD mn	2026E	2027E	2028E	2029E	2030E
Services — revenue	355	370	384	400	416
Services — margin	20%	20%	20%	20%	20%
Group revenue	4,589	4,725	4,942	4,966	4,906
Group earnings before interest, tax, depreciation and amortisation	1,860	1,923	2,033	2,007	1,919
Group margin	40.5%	40.7%	41.1%	40.4%	39.1%

No margin in this table is an assumption applied to the group. For the two shipping units that carry the rate risk, the margin is a pure arithmetic output: rate per vessel-day less running cost per vessel-day. For the contracted units the unit margin is set from what that unit itself earned in the first quarter of 2026, and the group margin — which moves from 40.5% to 39.1% across the forecast — is an output of the changing mix, not a path anyone chose. The margin rises against FY2025's 29.3% mainly because the low-margin chartered-in trading that grossed up FY2025 revenue is not repeated: the first quarter of 2026 showed revenue -8% year on year while earnings rose +7%.

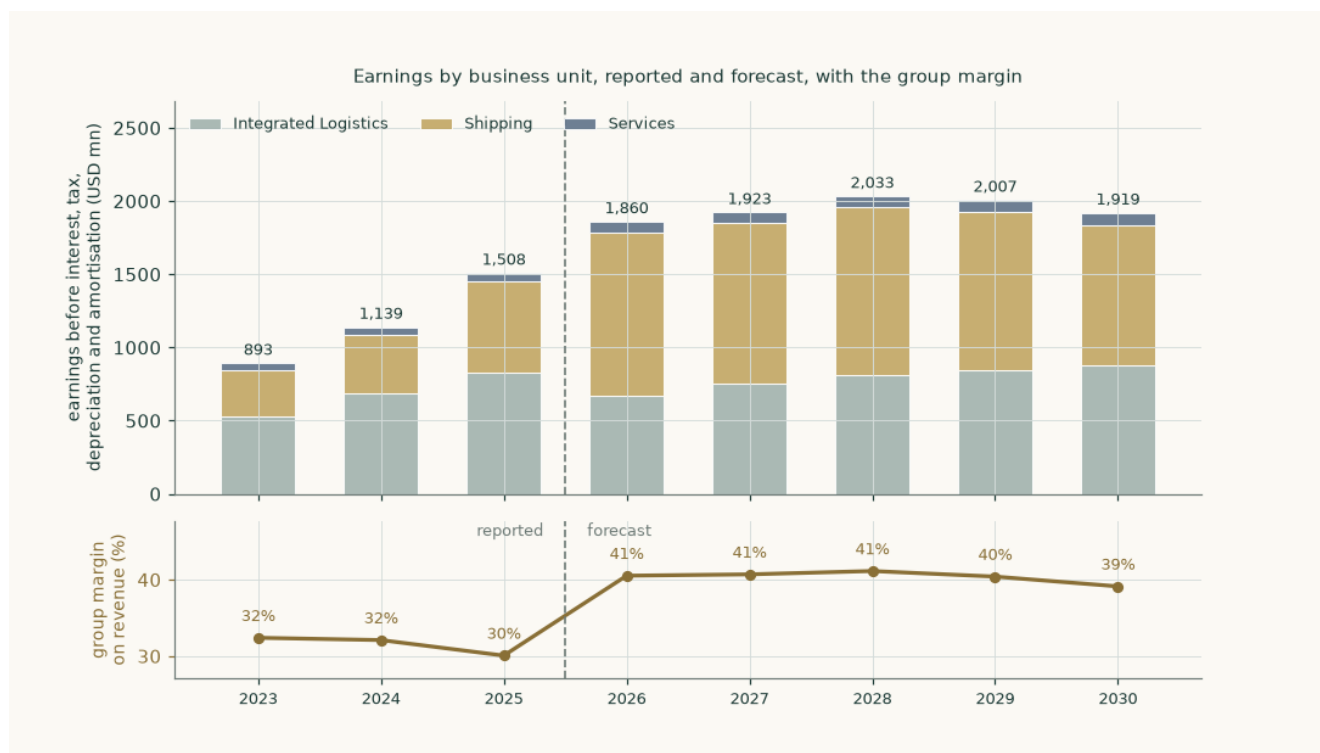


Figure 2 — earnings by business unit, reported and forecast, with the group margin. Shipping does the moving; the contracted logistics base grows steadily underneath it.

The build against the company's own guidance — a gap, stated plainly

This build sits materially above what management has guided for 2026, and that is a deliberate result of the method rather than an accident to be reconciled away.

Business unit	Guided revenue	Built revenue	Guided earnings	Built earnings	Gap on earnings
Integrated Logistics	1,846	2,036	606	668	+10%
Shipping	2,475	2,197	959	1,120	+17%
Services	375	355	62	71	+14%
Group	4,841	4,589	1,613	1,860	+15%

Revenue and earnings in USD million. Guidance is the midpoint of the ranges the company published for the year; the built figures are the output of the unit model in this section.

The group gap is +15% on earnings. Management's own explanation for why its guidance is set where it is, given with the guidance itself, is that its shipping assumptions are set well below prevailing spot rates and its logistics guidance is set at minimum activity levels. This build does not use assumptions set below the market: it marks the tanker fleet to the rates the company itself reported for the first quarter of 2026 and indicated for the second, and it sets each logistics unit at what that unit actually earned in the first quarter, annualised. Those are the company's own numbers, used at face value. The reader now has both figures and the reason for the difference, and can decide which to work from. What the reader should not do is assume the two are reconciled somewhere below: they are not, and the +15% is carried openly through every lens in this study. Note also that the gap runs the other way in Integrated Logistics on revenue, where the build is above guidance on both lines, and is largest in Shipping at +17% — which is exactly where management said it was being conservative.

1.7 The crux — what the fleet earns per day, and for how long

Everything else in this study is second order. The crux is a single question: the tanker fleet is currently earning rates several times its own recent average, and the valuation turns entirely on how long that lasts and where it settles.

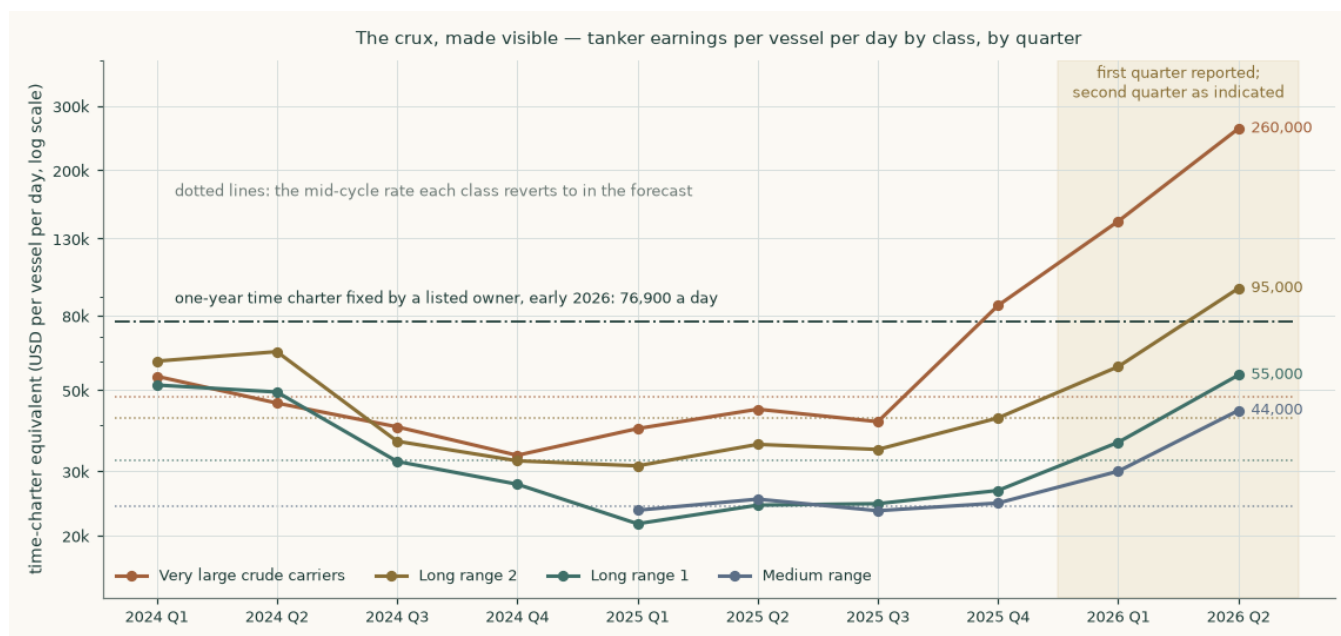


Figure 3 — the crux made visible. Time-charter equivalent per vessel per day by class, by quarter, on a logarithmic scale. The last two points are the first quarter of 2026 as reported and the second quarter as indicated by the company; the dotted lines are the mid-cycle rates this study's base case reverts to; the dash-dotted line is an independent one-year charter fixed by a listed owner in early 2026.

Class	Owned	At spot	FY2024 avg	FY2025 avg	2026 Q1	2026 Q2	Mid-cycle anchor used
Very large crude carriers	9	7	43,381	52,466	145,000	260,000	47,924
Long range 2	17	13	48,011	35,737	58,000	95,000	41,874
Long range 1	9	7	40,155	24,199	36,000	55,000	32,177
Medium range	16	16	24,140	24,140	30,000	44,000	24,140
Handysize	2	2	24,140	24,140	30,000	44,000	24,140

US dollars per vessel per day. Quarterly rates for the medium-range class are not disclosed for FY2024, so the FY2025 average stands in; the handysize vessels are not broken out at all and are carried at the medium-range rate. Both substitutions are flagged rather than hidden, and both are immaterial: the two classes together are 18 of 53 vessels and the smallest earners. The mid-cycle anchor is the average of the FY2024 and FY2025 outcomes, which is what the base case reverts to over four years from 2027E.

The scale of the move is easiest to see in the largest class. Very large crude carriers averaged USD 43,381 a day in FY2024 and USD 52,466 in FY2025; the company reported USD 145,000 for the first quarter of 2026 and indicated USD 260,000 for the second — roughly 5.4 times the mid-cycle anchor this study reverts to. Against 56 vessels at spot and the company's own disclosure that USD 1,000 a day is worth USD 20 million of annual earnings, the difference between today's rate and the mid-cycle anchor is worth well over a billion dollars a year of earnings. That is why this one judgement dominates.

Why the base case reverts — the outside evidence

A reversion assumption made without evidence is just pessimism. Two independent observations, neither of them this study's own construction, point the same way, and they are the reason the base case is a judgement with support rather than a default.

Evidence	What it shows
The forward market will not pay spot for a year of time	A listed crude tanker owner fixed seven very large crude carriers on one-year time charters in early 2026 at USD 76,900 a day, at a time when the spot rate of the moment was around USD 102,897 and this company's own fleet went on to earn USD 145,000 in the first quarter. A counterparty willing to commit for twelve months priced that year at -25.3% against the spot rate in front of it. That is a market saying, with its own money, that it does not expect spot to hold
The supply reason why	The crude tanker order book stands near 27% of the trading fleet, a seventeen-year high, with the very large crude carrier order book higher still. Ships ordered into a strong market arrive into whatever market exists when they deliver, and this is the mechanism by which every previous tanker upcycle ended
This study's own base path	The base case runs the very large crude carrier rate from USD 150,616 in 2026E down to USD 47,924 by 2030E, a straight glide to the FY2024-FY2025 average. It crosses the one-year charter rate above in 2027E-2028E, which is to say it is broadly consistent with what the forward market was willing to pay

The alternative — rates settling 30% above the mid-cycle anchor rather than at it — is the direction the company's own guidance and its contracted expansion point in, and it is computed in full: it gives AED 10.22 a share against the base case's AED 8.40. It is published as an alternative reading rather than adopted, because the two observations above are external, dated and specific, while the case for sustained strength rests on a view about future supply and demand that this study is not in a position to hold with confidence.

One more comparison puts the crux in proportion. Moving the mid-cycle rate anchor across the whole tested range, from 80.0% to 120.0% of the base, moves fair value by AED 2.43 a share. Changing the beta from the share's own 0.705 to an asset-risk one moves it by AED 2.24. The discount-rate judgement is 0.9 times the whole operating crux, which is an uncomfortable thing for a valuation to be true of and is stated rather than buried. It is also the reason both are published and neither is averaged.

1.8 Macro and country — the sourced cost of capital

The dirham has been fixed to the US dollar at 3.6725 since 1997 and monetary policy follows the Federal Reserve accordingly: the Central Bank of the UAE base rate stood at 3.65% and was maintained at its July 2026 decision, its last change being a cut from 3.90% in December 2025. That matters for this study in a specific way: because the company reports in dollars and the currency is pegged, there is no exchange-rate view anywhere in the valuation, and the whole of the country question reduces to a small sovereign premium rather than a convertibility argument.

Component	Explicit window	Terminal	Source and construction
Observed risk-free rate	4.48%		the UAE dirham Treasury bond tranche maturing January 2031, at its July 2026 auction yield

Component	Explicit window	Terminal	Source and construction
Less the sovereign default spread	(0.42%)		the published country-risk file adjusted default spread for the UAE on its Moody's Aa2 assessment. Country risk must enter once, and it enters through the premium below, so it is netted out of the observed yield here
Adjusted risk-free rate	4.06%	3.25%	the terminal figure is a long-run nominal anchor for a dollar-pegged economy: a 2% inflation objective plus a 1.25% long-run real policy rate, the same construction the terminal growth rate rests on
Beta	0.705	0.705	own-stock weekly regression against an equal-weight index of Abu Dhabi names over the full listed history: n = 163, R-squared 0.172, standard error 0.122, 90% interval [0.50, 0.90]. The asset-risk alternative of one is priced in full above and again below
Equity risk premium	4.87%	4.87%	the January 2026 country-risk file: a mature-market premium of 4.23% plus a UAE country premium of 0.64%
Cost of equity	7.49%	6.68%	adjusted risk-free rate plus beta times the premium. At a beta of one it would be 8.93%
Cost of debt, pre-tax	5.82%	5.01%	a weighted read of six disclosed instruments — the evidence table follows
Cost of debt, after tax	5.30%		at the 9% statutory rate
Equity weight	91.8%	91.8%	market capitalisation of USD 12,410 million against gross debt of USD 1,115 million. Market-value weights throughout; book equity is never used
Debt weight	8.2%	8.2%	
Cost of capital	7.31%	6.51%	each forecast year is discounted at its own point on the glide between the two, and the terminal value is capitalised at the terminal rate and brought back on the same cumulative factor as the year-five cash flow — one date, one price of time
The glide, year by year	7.15% · 6.99% · 6.83% · 6.67% · 6.51%		published so the discount factors in section 1.1 are reproducible

The cost of debt — six instruments, not an assumption

A single disclosed range is not evidence of what a company pays. Six separate instruments are visible in the statements and the market, and they are set out here rather than summarised into one number.

Instrument	Basis	Rate
Parent revolving credit facility, drawn January 2026	SOFR + 0.80%	4.45%
Third-party bank loans, disclosed weighted-average range 7.11%-7.55%	midpoint	7.33%
Other third-party borrowings, disclosed range 4.36%-8.31%	midpoint	6.33%
Lease liabilities, interest charged over the average balance in 2025	implied	6.47%
Perpetual capital securities placed with a third-party investor	SOFR + 1.25%	4.90%
Local government bond, the dirham tranche maturing January 2031	auction yield	4.48%
Adopted cost of debt, pre-tax	weighted across the drawn book	5.82%

The spread of the evidence is the point. The parent revolving facility at the secured overnight financing rate plus 80 basis points is the cheapest money in the book and is a genuine benefit of the ownership structure; third-party bank debt costs 288 basis points more. The adopted rate sits between them, weighted by what is actually drawn. It sits above the local sovereign yield of 4.48%, as a corporate borrowing in the same currency must. The perpetual capital

securities are included in the evidence because they price the company's own subordinated risk, but they are deducted in the bridge rather than carried in the weights, so they do not enter the cost of capital twice.

Where this construction is contested, and what the alternatives are worth

Five choices above are legitimately arguable. Each alternative is computed and its value published, so a reader who prefers a different convention can take the number directly instead of guessing at its size.

The choice made	The alternative	Value on the alternative	Why ours
Cost of equity on the share's own regressed beta of 0.705	An asset-risk beta of one, on the view that a fleet owner carries its market's risk whoever signs the charter — cost of equity 8.93% instead of 7.49%	AED 6.16 against 8.40	Neither is preferred. This is the study's central contested judgement and both are carried as equals through the summary, the bridge, the crux and the expert panel. The regression passes its usability conditions and the estimate is economically coherent for a half-contracted business; the asset-risk view is the more conservative and is what the market price currently implies
Perpetual capital securities deducted at carrying value	Deducted at the present value of their perpetual coupon, capitalised at the terminal cost of capital	AED 8.64 (0.24)	Carrying value is the more conservative and is the amount that would have to be found if the securities were ever called. The coupon-value treatment is the right one if they are genuinely permanent. Both are shown in the bridge
Country risk entering once, through the premium	Using the raw local yield of 4.48% together with a premium that already contains the country charge	raises the cost of equity by the sovereign spread of 0.42% and lowers the value	That construction double-counts sovereign risk. The spread is netted from the yield and re-enters through the premium; the net country charge is therefore the premium itself, not the premium plus the spread
A single premium basis, because only one exists for this country	The credit-default-swap basis of the same published file	not available — the UAE has no sovereign swap entry in the file	This is stated rather than omitted. Gulf comparators that do carry both bases show they are not interchangeable: Saudi Arabia's swap basis gives 5.72% against 5.01% on the agency credit-rating basis, a gap of about seventy basis points. A reader should treat the single available basis as carrying that much construction uncertainty
Tax charged unit by unit at each unit's own disclosed effective rate	A uniform 15% across the group, the domestic minimum top-up rate	AED 7.07 against 8.40	The unit rates are what the company actually bore in FY2025 — about 1% in shipping, where international shipping income is relieved. Using a statutory rate the company does not pay would be wrong; but the relief is a policy choice that can change, so the downside is priced rather than assumed away

1.9 Sensitivity

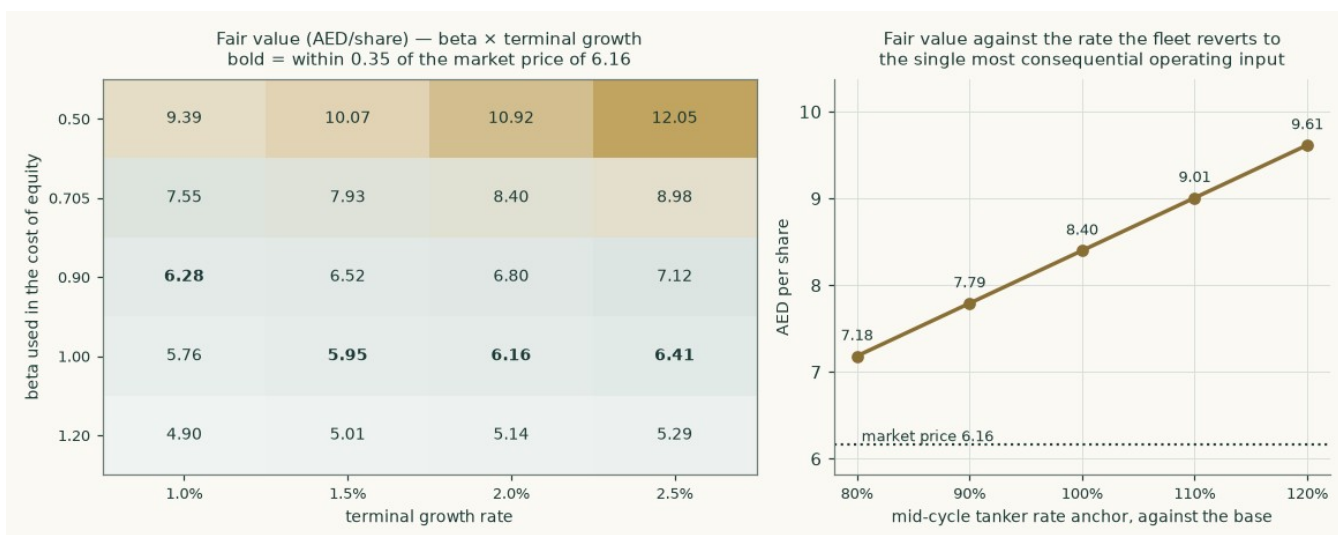


Figure 4 — left, fair value across beta and terminal growth; right, fair value against the mid-cycle rate the fleet reverts to. The market price of AED 6.16 is reached in the beta grid at a beta of one, and is not reached anywhere in the rate-anchor range.

Each anchor is varied independently around its own base, so each row shows what the valuation needs that one thing to do.

Beta →	0.50	0.705	0.90	1.00	1.20
terminal growth 1.0%	9.39	7.55	6.28	5.76	4.90
terminal growth 1.5%	10.07	7.93	6.52	5.95	5.01
terminal growth 2.0%	10.92	8.40	6.80	6.16	5.14
terminal growth 2.5%	12.05	8.98	7.12	6.41	5.29

Fair value in AED per share. The adopted construction is the 0.705 column at 2.0% growth; the asset-risk alternative is the 1.00 column at the same growth. Beta moves the answer across the whole width of this table; growth moves it a fraction of that.

Sensitivity	Range tested	Fair value span (AED/share)	Swing
Beta in the cost of equity	0.50 – 1.20	5.14 – 10.92	5.78
Mid-cycle rate the fleet reverts to	80.0% – 120.0% of the base anchor	7.18 – 9.61	2.43
Capital expenditure	90.0% – 120.0% of the guided programme	7.43 – 8.88	1.45
Group tax rate	5% – 15% uniform across the group	7.07 – 8.37	1.30
Terminal growth	1.0% – 2.5%	7.55 – 8.98	1.43
Bear-to-bull scenario composite	rates, beta and capital expenditure moved together	4.60 – 11.56	6.97

Ranked by single-row swing, the beta is the largest by a wide margin — larger than the operating crux, larger than the capital programme, larger than the tax exposure. The tax row deserves its own note: at a uniform 15% the value falls to AED 7.07, a loss of AED 1.33 a share, and that is the priced cost of the shipping relief being withdrawn. Every row is a full re-run of the unit build and the bridge, not a multiplier applied to a finished number.

2 Technical and price structure

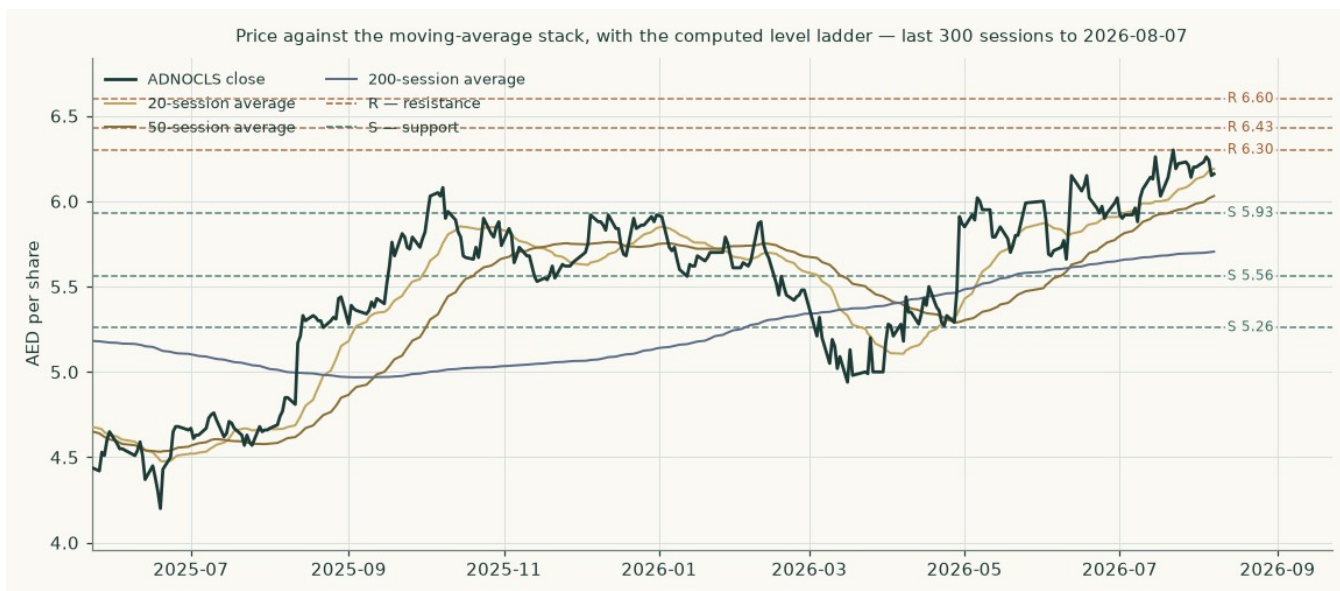


Figure 5 — price against the 20-, 50- and 200-session moving averages with the computed support and resistance ladder, to 2026-08-07.

Marker	Level (AED)	Reading
Last close	6.16	the anchor for everything in this study
20-session average	6.19	price is -0% against it; the average is rising
50-session average	6.03	price is +2% against it; the average is rising
200-session average	5.70	price is +8% against it; the average is flat
Nearest resistance	6.30	then 6.43 and 6.60; levels are computed from recency-weighted pivot clusters, not drawn by hand
Nearest support	5.93	then 5.56 and 5.26; the nearest support has been touched 12 times in the window
52-week range	4.65 – 6.44	the close sits 4.3% below the high and 32.5% above the low
Relative strength index (14)	51.91	neutral — neither stretched nor washed out
Average true range (14)	0.11	about 1.9% of the price a session — a normal tape
Moving-average crossover	40 sessions ago	the 50-session average crossed above the 200-session; the configuration has held since
Annualised volatility	28.2%	the current state of the range-based volatility model, and the input that sets the width of the cone in section 3

The price closed 6.16 above a rising 50-day (6.03) and a flat 200-day (5.70), but below a rising 20-day (6.19). Momentum is neutral: RSI(14) is ~52 and the daily ATR near 0.11 (~1.9%) points to a normal tape. MACD (12·26·9) is above zero but rolling over (+0.05 / +0.07 / –0.01). Over the last year it has ranged 4.65–6.44; the last close sits 4% below that high and 32% above that low.

The structure to watch is straightforward. A daily close back above 6.30 would clear the nearest resistance and open the 6.60 zone. A close below 5.93 would break the nearest support and open the 5.26 zone. None of this is a valuation argument — it is the price context the valuation has to be read against. It is worth noting where the fundamental estimates sit relative to this ladder: the asset-beta central of AED 7.04 sits above every computed resistance in the table, and the own-beta central of AED 7.94 further above again. The price map in the next section, which knows nothing about value, does not reach either within three months at any percentile shown.

3 A probabilistic price map

This section answers a different question from the valuation. It does not ask what the business is worth; it asks where the share price could plausibly be in one and three months, given how this share has actually moved. Fifty thousand price paths are simulated from a volatility model fitted to the daily high-low-open-close range, with a fat-tailed shock and a drift anchored to the cost of carry — the local deposit rate of 3.65% less the dividend yield of 2.75%, which is a cost of money and not a directional view.

The widths are tested rather than assumed, and the test is worth stating in plain terms. Over the share's listed history the three-month distributions scored +2.95% better than a random-walk benchmark anchored on the same cost of carry, across 8 independent non-overlapping windows with origins from 2024-06-21 to 2026-03-24, each one forecast using only data available before it. Outcomes fell across the distribution roughly evenly rather than bunching at one end: a uniformity test on where each outcome landed returns $p = 0.64$, and a second test of the same thing returns $p = 0.53$. Coverage was 38% inside the 50% band, 75% inside the 80% and 88% inside the 90% — close to advertised at the wide bands, light at the narrow one on a sample of only 8 windows. The one-month horizon has more windows and behaves better: 24 of them, coverage 67% / 88% / 96%, uniformity $p = 0.48$, and a score +0.03% against the benchmark — level with it rather than ahead of it. Pooling 91 overlapping three-month windows on a shifted grid gives +0.66% and coverage of 52% / 84% / 96%.

Two limitations belong here rather than in a footnote. First, the bands are about 18% wider than the benchmark's, which is a real cost and means the model buys its accuracy partly with width. Second, this share listed in June 2023, so the cleaned series spans 3.2 years and a five-year set of origins does not exist for it — the width setting rests on the wider market panel of 18 Abu Dhabi names and 261 windows, which scored +0.68% against the benchmark with a 90% interval of -0.1% to +1.4%. On both the individual share and the panel the honest summary is the same: the model is level with or modestly ahead of a random walk and its stated probabilities are close to true, which is what this map claims and no more.

This is a map of price dispersion, not a forecast, and it is never blended with the fair-value work above.

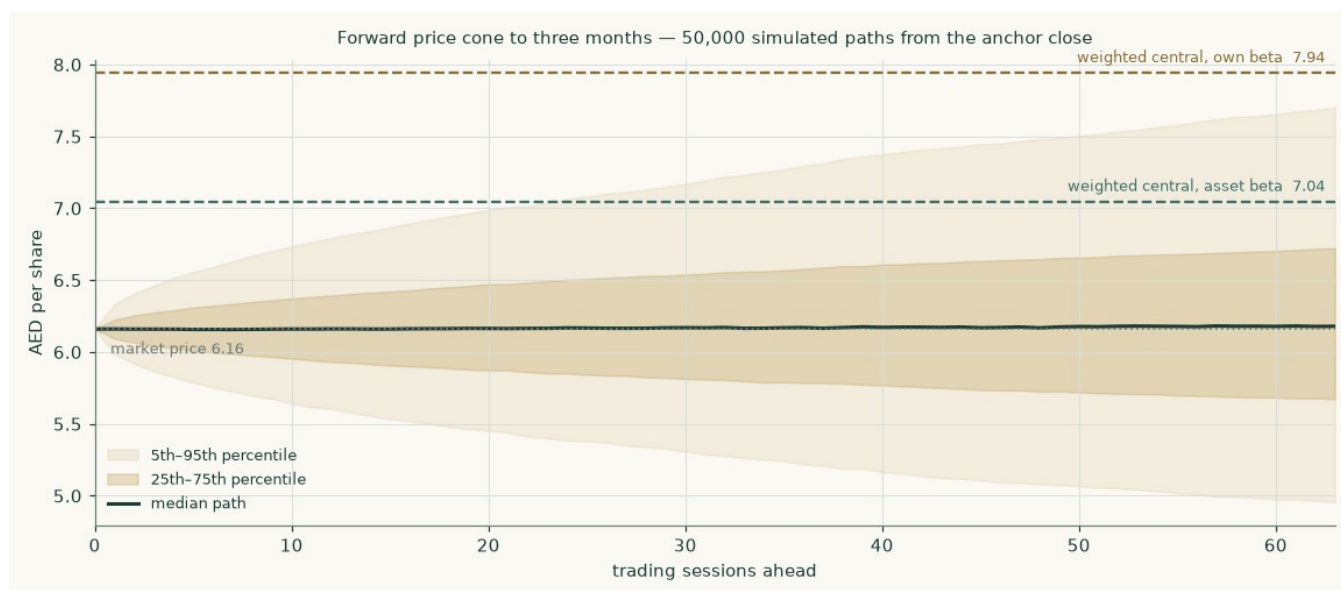


Figure 6 — the forward price cone to three months. The dashed lines are the two fundamental centrals: AED 7.94 on the share's own beta and AED 7.04 on an asset-risk beta.

Percentile map (AED per share)

Horizon	5th	25th	Median	75th	95th	Above the price today
1 month (to 2026-09-07)	5.47	5.89	6.16	6.45	6.93	50%
3 months (to 2026-11-09)	4.95	5.67	6.18	6.73	7.73	51%

The check dates are calendar dates fixed when the map is struck: one month and three months from 2026-08-07, rolled forward to the exchange's first real trading session. The median barely moves from the price today because the drift is a carry, not a view.

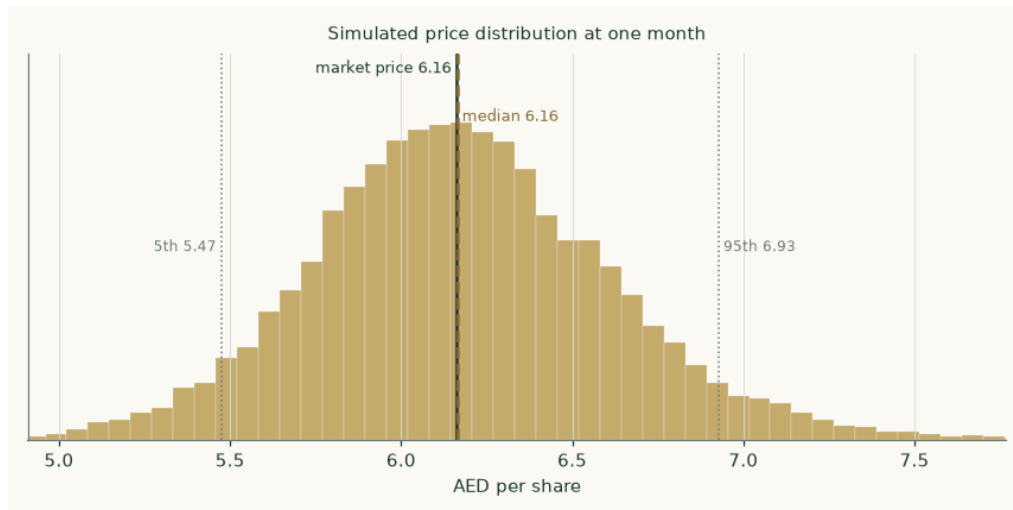


Figure 7 — the one-month outcome distribution.

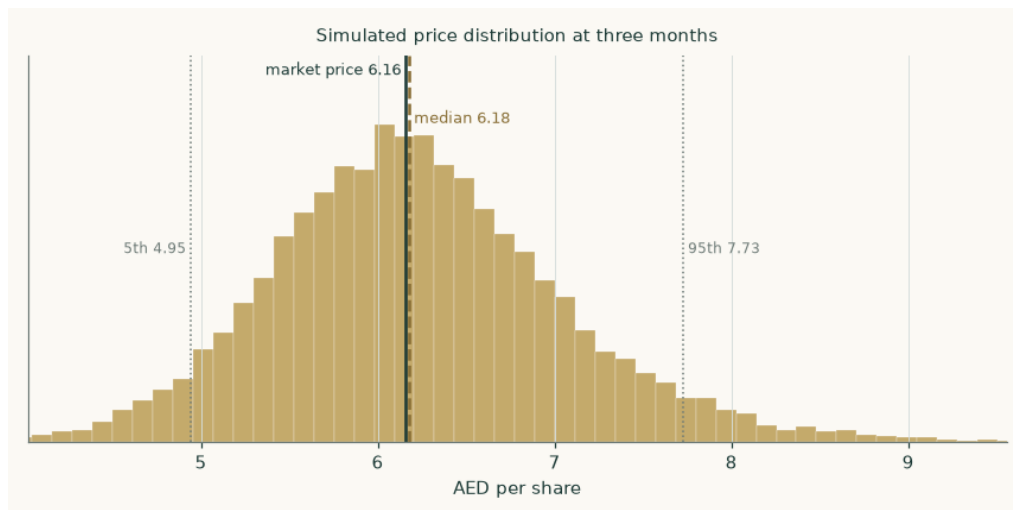


Figure 8 — the three-month outcome distribution.

Level-touch ladder

Event	1 month	3 months
Finishes 10% or more above the price today	9%	23%
Finishes 10% or more below the price today	7%	20%
Touches 10% above at any point	14%	42%
Touches 10% below at any point	11%	36%

Touch probabilities exceed finish probabilities because a path can visit a level and come back. The distinction matters for anyone thinking about a level rather than a date.

4 Comparison of the lenses

Read	What it says	What it assumes
Fundamental — own beta	AED 7.94, +29% against the market	that the share's own three years of price history describe its risk, and that the tanker fleet reverts to its FY2024-FY2025 average rate
Fundamental — asset beta	AED 7.04, +14%	that a fleet owner carries the risk of the market it trades in whoever signs the charter, with the same operating forecast
Cash flow alone, own beta	AED 8.40, +36%	a cost of capital gliding 7.31% to 6.5%
Cash flow alone, asset beta	AED 6.16, 0%	the same, gliding 8.63% to 7.8%
Multiples, blended	AED 8.07, +31%	that a contracted shipowner's multiple and a spot owner's multiple, blended on this company's own disclosed spot exposure, describe it
Sum of the parts	AED 9.44, +53%	the same two multiples applied where each belongs rather than to the group
Rates hold near current levels	AED 10.22, +66%	that the fleet settles well above its own recent average — the direction the company's guidance points
The market	6.16	revealed preference of the marginal buyer
Three-month price map	median 6.18, 51% chance of finishing above the price today	that volatility persists as it has; no view on value at all

Read down that table and one thing stands out: the market price sits almost exactly on the asset-beta reading and well below the own-beta one. That is not a coincidence and it is not evidence that the market is wrong. It is the clearest available statement of what the marginal buyer believes — that this is a shipping company whose earnings belong to a cyclical world market, not a contracted infrastructure business that happens to own ships. The two multiple lenses land above the market, but they import their cost of capital from comparators rather than state one, so they are evidence about relative pricing rather than an independent answer.

This study declines to choose between the two readings, and says why. The regression is real: 163 weekly observations, an R-squared of 0.172, and a beta that sits exactly where a half-contracted business should sit. But three years is a short history, and it covers a period in which the contracted logistics arm grew faster than the merchant fleet — the mix that produced that beta is not the mix the forecast contains. A reader who weights the evidence toward the price history gets AED 7.94; a reader who weights it toward the economics of fleet ownership gets AED 7.04. Both numbers are in this document at full size and neither is hidden inside an average.

No recommendation and no forecast of the share price is expressed here or anywhere else in this document. The output is a range and a distribution.

5 Catalysts to watch

Catalyst	Why it matters	What to watch
Second-quarter and half-year results	the second-quarter rate of USD 260,000 a day for the largest class was an indication given on a call, not a reported figure; the half-year statement is the first hard confirmation	the reported time-charter equivalent by class against the indicated levels, and whether the third quarter is being framed up or down
Where rates settle, not where they peak	the base case reverts to the mid-cycle anchor over four years; the whole AED 2.43 of the rate sensitivity sits in that path	one-year time-charter fixtures rather than spot prints — a forward commitment is the market pricing duration, which is what this model needs
Tanker supply	an order book near 27% of the trading fleet is the mechanism by which the cycle ends	deliveries against scrapping, and whether ordering continues at these rates

Catalyst	Why it matters	What to watch
The contracted expansion delivering	gas carrier vessel-years rise from 10.8 in 2026 to 25.0 by 2029, which is what takes spot exposure down from 31% to 23% of earnings	on-time delivery of the ethane and Ruwais carriers, and new long-term charters
Capital allocation, because the model runs to net cash	on this build net debt falls from 0.49x earnings in 2026E to net cash by 2029E, against a stated target of 2.0x to 2.5x. The company will not sit there	acquisitions, a step-up in distributions beyond the stated 5% a year, or a larger newbuild programme — see section 7
The tax relief on international shipping	the shipping units bore about 1% in FY2025; a uniform 15% would cost AED 1.33 a share	any change to the exclusion of international shipping income from the domestic minimum top-up tax
Offshore Projects	the least visible line in the model: FY2025 revenue of USD 531 million falls to a guided USD 125 million in 2026E after the large island project completed	new engineering and construction awards replacing the completed work
The perpetual capital securities	USD 2.0 billion ranking ahead of the ordinary shares, worth AED 0.24 a share between the two treatments	any call, refinancing or reset of the coupon

6 Reading the probability zones

The three-month distribution has a median of AED 6.18 and a 5th-to-95th span of 4.95 to 7.73. Read that honestly: the model treats a -20% move and a +25% move as equally unremarkable tail outcomes over a single quarter. Anyone who finds that range uncomfortably wide is reacting to the volatility of the share, which has run near 28% annualised, rather than to the model.

Zone	Three-month range (AED)	How to read it
Lower tail	below 4.95	a 1-in-20 outcome; would need a genuine shock — a rate collapse faster than any in the recent record, or a change in the contracted relationship with the parent
Lower half of the central band	5.67 – 6.18	ordinary drift lower; this zone sits below every fundamental lens in the study except the bear bounds
Upper half of the central band	6.18 – 6.73	ordinary drift higher; the market continuing to price the asset-beta reading
Upper tail	above 7.73	a 1-in-20 outcome; the zone in which the market would begin to price something closer to the own-beta reading, or to price the rate strength as durable
Where the asset-beta central sits	7.04	between the 75th and 95th percentile of the three-month distribution — reachable inside the horizon without anything unusual happening
Where the own-beta central sits	7.94	above the 95th percentile of the three-month distribution. The valuation and the price map genuinely disagree on this construction, and stating the gap at full size is the point

7 Caveats and what would change our mind

- **The beta is the study, and it is unresolved.** The difference between the share's own regressed beta of 0.705 and an asset-risk beta of one is AED 2.24 a share on the cash-flow lens — larger than the entire tanker-rate sensitivity, larger than the capital programme, larger than the tax exposure. The regression is real and passes its usability conditions, but it rests on 3.2 years of history in a period when the contracted arm was growing faster than the merchant fleet. Both readings are published as equals. If forced to say which way the evidence leans: the market price sits on the asset-beta reading.

- **The terminal value is most of the answer.** 84% of the cash-flow model's enterprise value is the terminal value on the own-beta construction, 80% on the asset-beta one. That is high, and it is the arithmetic consequence of discounting a business whose explicit years are depressed by a heavy capital programme — capital expenditure runs USD 1,375 million in 2026E against earnings of USD 1,860 million. The terminal assumptions are stressed across the cost of capital, growth and the rate anchor in section 1.9, and the growth in the perpetuity is paid for through an explicit reinvestment rate rather than assumed free.
- **The build sits above the company's own guidance, on purpose.** The 2026E build is +15% above the guided group earnings midpoint — +17% in Shipping. Management states that its shipping assumptions are set well below prevailing spot rates and its logistics guidance at minimum activity levels. This build marks the fleet to the rates the company itself reported and indicated. Both numbers are in section 1.6 and the gap is not reconciled anywhere below; a reader who prefers the guided figures should scale the first forecast year accordingly.
- **The modelled balance sheet goes to net cash, and the company will not allow that.** On this build net debt falls from 0.49× earnings in 2026E to 0.32× in 2028E and turns to net cash of USD 774 million by 2030E, against a stated medium-term target of 2.0× to 2.5×. At the low end of that target the 2030E balance sheet would carry about USD 3,839 million of net debt, so the modelled path leaves roughly USD 4,613 million of unused capacity, on top of an undrawn committed revolving facility of USD 2.0 billion. The company will either lever up for acquisitions or return more capital. This does not change the answer, and the reason is worth being explicit about: free cash flow to the firm is struck before financing, so the enterprise value is indifferent to the mix of debt, dividends and buybacks. What the choice changes is the shape of the return to shareholders and the risk profile of the equity — not what the operating business is worth.
- **There is no net-asset-value lens, which is the sector standard for a shipowner.** The conventional way to value a fleet owner is vessel by vessel at independent broker valuations, bridged to equity. Those valuations are not obtainable from this research environment, so the book-value lens stands in for them at 15% weight. The only direct evidence on the gap between carrying value and market value is the January 2026 sale of a 2017-built very large crude carrier for USD 111 million against a carrying value of USD 83 million — 1.34× book, on one vessel, in a strong market. It says the book lens is biased conservative, but one transaction is not a fleet valuation and it is not extrapolated into the numbers.
- **The second-quarter rate is an indication, not a reported figure.** The USD 260,000 a day used for the largest class in the second quarter of 2026 is the level the company indicated on its first-quarter call, not an audited or reported outcome. It is one of the four quarters that sets the 2026E rate, so an error there flows into the first forecast year. The reported half-year will settle it.
- **Two rate substitutions are carried in the fleet build.** Quarterly rates for the medium-range class are not disclosed for FY2024, so the FY2025 average stands in; the handysize vessels are not broken out at all and are carried at the medium-range rate. Together those are 18 of 53 vessels and the lowest earners in the fleet, so the effect is small — but it is a substitution, and it is labelled as one.
- **Two unit inputs are solved rather than sourced.** Per-vessel running cost of USD 9,355 a day is solved so that the owned fleet's earnings reproduce the reported FY2025 result, and the gas carrier day rate of USD 61,573 is solved from reported FY2025 revenue over consolidated vessel-years. Neither is disclosed at a finer level anywhere in the filings. Both are labelled as solved wherever they appear, and both are anchored on a reported outcome rather than assumed.
- **The revenue gross-up for the tanker fleet is presentational.** Reported Tankers revenue was 2.72× the owned fleet's own charter-equivalent revenue in FY2025, because of chartered-in and relet trading that carries almost no margin. The forecast sets that ratio at 1.60× from 2026E, on the evidence of the first quarter, where revenue fell year on year

while the rate earned per vessel more than doubled. The ratio moves the revenue line and never the earnings line, so it cannot affect the valuation — but a reader comparing this study's revenue forecast with a broker's should know the two may be on different conventions.

- **The tax relief on international shipping is a policy, not a right.** The model taxes each unit at its own disclosed FY2025 effective rate, which is about 1% in shipping because international shipping income is excluded from the UAE's domestic minimum top-up tax rules. That exclusion is a policy choice. Priced at a uniform 15% across the group, fair value falls to AED 7.07.
- **The price history is short, and it is short in a specific way.** The share listed in June 2023, so the cleaned series spans 3.2 years. That is short for a beta and too short for a five-year test of the price map, which is why the map's width setting rests on the wider Abu Dhabi panel and why the beta is corroborated three ways in section 1.8 rather than accepted at face value.
- **What would change our mind, specifically.** Upward: one-year time-charter fixtures settling durably above the mid-cycle anchor used here; the contracted gas programme delivering on time and taking spot exposure below the disclosed 23%; a longer price history that keeps the regressed beta near 0.705 as the mix shifts toward shipping. Downward: rates reverting faster than the four-year glide assumed here; the shipping tax relief being withdrawn; a capital programme that grows without a matching contracted return; or evidence that the contracted relationship with the parent is repriced rather than renewed.

Appendix A Financial statements

A.1 Income statement — three years reported and five years forecast (consolidated, USD mn)

USD mn	FY2023	FY2024	FY2025	2026E	2027E	2028E	2029E	2030E
Revenue	2,755	3,549	5,016	4,589	4,725	4,942	4,966	4,906
Direct and operating costs	(2,003)	(2,609)	(3,908)	(2,729)	(2,802)	(2,909)	(2,960)	(2,986)
Gross profit	752	941	1,108	—	—	—	—	—
General and administrative	(146)	(142)	(205)	—	—	—	—	—
Other income and charges	8	18	41	—	—	—	—	—
Earnings before interest, tax, depreciation and amortisation	862	1,135	1,469	1,860	1,923	2,033	2,007	1,919
margin	31.3%	32.0%	29.3%	40.5%	40.7%	41.1%	40.4%	39.1%
Depreciation and amortisation	(249)	(317)	(525)	(538)	(590)	(636)	(664)	(674)
Earnings before interest and tax	614	817	944	1,321	1,332	1,397	1,343	1,246
Share of joint ventures and associates	14	14	37	—	—	—	—	—
Net finance cost	(5)	(2)	(68)	(57)	(68)	(63)	(53)	(12)
Profit before tax	622	829	922	1,264	1,264	1,334	1,289	1,234
Income tax	(2)	(73)	(59)	(47)	(52)	(56)	(57)	(61)
Profit for the year	620	756	863	1,217	1,212	1,278	1,232	1,174
Non-controlling interests	(0)	(0)	(24)	(107)	(107)	(112)	(108)	(103)
Attributable to ordinary and hybrid holders	620	756	839	1,109	1,106	1,166	1,124	1,070
Perpetual securities coupon	—	—	(61)	(97)	(97)	(97)	(97)	(97)
Earnings per share (USD)	0.08	0.10	0.11	0.150	0.149	0.158	0.152	0.145

Every reported line is taken directly from the company's audited consolidated statements. Two rows are house derivations and are labelled: earnings before interest, tax, depreciation and amortisation is earnings before interest and tax plus depreciation and amortisation — the audited statements carry no such line, and the company's own reported figure (USD 1,515 million in FY2025 against the USD 1,469 million used here) adds the share of joint ventures and one-off items; and forecast earnings per share is attributable profit over shares outstanding. Forecast profit is struck after interest on the modelled debt path and after tax at each unit's own rate, so it differs from the free-cash-flow waterfall in section 1.1, which is a pre-financing measure by construction.

A.2 Balance sheet — condensed house layout (consolidated, USD mn)

USD mn	FY2023	FY2024	FY2025	2026E	2027E	2028E	2029E	2030E
Property, plant and equipment	3,807	4,543	6,884	7,833	8,602	9,327	9,482	9,580
Right-of-use assets	148	162	225	—	—	—	—	—
Joint ventures and associates	77	268	578	493	493	493	493	493
Intangibles and goodwill	63	62	71	71	71	71	71	71
Inventories	121	133	137	—	—	—	—	—
Receivables and amounts due from related parties	1,131	1,285	1,490	—	—	—	—	—
Payables and amounts due to related parties	(962)	(1,228)	(1,280)	—	—	—	—	—
Net working capital	290	190	346	483	500	530	521	495
Cash and cash equivalents	216	199	338	695	695	695	695	695
Total assets	5,746	7,003	9,965	—	—	—	—	—
Gross debt	290	739	1,032	1,417	1,608	1,519	1,350	634
Net debt	74	540	694	913	824	655	(61)	(774)
Perpetual capital securities	0	0	1,979	1,979	1,979	1,979	1,979	1,979
Non-controlling interests	0	0	265	272	272	272	272	272
Equity attributable to ordinary shareholders	4,406	4,895	4,982	5,745	6,396	7,089	7,721	8,280
Book value per share (USD)	0.5955	0.6616	0.6734	0.7766	0.8645	0.9581	1.0436	1.1191
Net debt / earnings	0.08×	0.47×	0.46×	0.49×	0.43×	0.32×	-0.03×	-0.40×
Return on equity	14.1%	15.4%	16.8%	20.5%	18.2%	17.3%	15.2%	13.4%

All three reported years are audited; every line is the closing figure from the company's own consolidated statements, with no roll-forward. The forecast columns are a condensed layout carrying only the lines the model actually rolls forward — the fleet, working capital, the funding and the equity account — and lines that are not modelled are shown as unavailable rather than estimated. Book value per share excludes the perpetual capital securities, which the accounts include inside total equity. The perpetual securities are the reason total equity jumped from USD 4,895 million to USD 7,225 million in FY2025 while equity attributable to ordinary shareholders barely moved.

A.3 Forecast balance-sheet and cash-flow markers

USD mn	2026E	2027E	2028E	2029E	2030E
Capital expenditure	(1,375)	(1,245)	(1,245)	(700)	(650)
Change in working capital	(137)	(17)	(30)	9	27
Free cash flow to the firm	298	606	700	1,256	1,235
Interest paid on the modelled debt	(83)	(94)	(88)	(79)	(37)
Perpetual securities coupon	(97)	(97)	(97)	(97)	(97)
Ordinary distributions	(341)	(358)	(376)	(395)	(414)
Payout ratio on attributable profit	31%	32%	32%	35%	39%
Gross debt	1,417	1,608	1,519	1,350	634

USD mn	2026E	2027E	2028E	2029E	2030E
Net debt	913	824	655	(61)	(774)
Net debt / earnings	0.49x	0.43x	0.32x	-0.03x	-0.40x
Invested capital	8,387	9,173	9,928	10,074	10,145
Return on invested capital	15.2%	13.9%	13.5%	12.7%	11.7%
Cost of capital that year	7.15%	6.99%	6.83%	6.67%	6.51%
Spread	+8.0pp	+6.9pp	+6.7pp	+6.1pp	+5.2pp

Three things in that table are worth reading together. Free cash flow to the firm is only USD 298 million in 2026E — on earnings of USD 1,860 million — because the capital programme peaks at USD 1,375 million and working capital builds by USD 137 million in the same year. It then quadruples by 2029E as the newbuild programme delivers and spending falls back toward maintenance levels. That shape is why the terminal value carries so much of the enterprise value: the explicit years are the investment years. And the spread of return on invested capital over the cost of capital is positive in every year of the forecast, narrowing from +8.0 percentage points to +5.2 as the rate cycle normalises — this business creates value on the study's own cost of capital throughout, which is the single most important thing the cash-flow model says.

Appendix B Peer frame, risk register and the research register

B.1 Peers and the sector frame

Company	Market	Relevance	Caution
Qatar Gas Transport (Nakilat)	Qatar	the closest listed analogue to the contracted legs — long-term contracted gas shipping for a national energy company, the same customer structure	a pure contracted shipowner with no merchant fleet and no offshore logistics arm; its multiple describes the half of this company that is contracted and says nothing about the other half
Frontline plc	Oslo / New York	a large listed spot crude tanker owner — the right frame for the merchant fleet	no contracted revenue, a different tax and domicile structure, and a shareholder base that trades it as a rate proxy
International Seaways	New York	a second listed spot crude and product tanker owner, used with the first to average away single-company effects	fewer published measures; only the enterprise multiple is used from it
Offshore support and contracting names	Gulf and international	the right frame for Integrated Logistics, which is the largest earner	no listed comparator combines offshore contracting with a national oil company parent as customer and shareholder; the contracted multiple is used for this leg instead

The absence of a single clean comparable is itself a finding, and it is the reason the relative lens is constructed as a blend and cross-checked by the sum of the parts in section 1.3 rather than taken from one peer. Note what the comparators themselves say: the contracted shipowner trades at 12.26x enterprise value to earnings and the spot owners at 8.53x — a gap of 3.7 turns that exists for exactly the reason this study spends section 1.7 on. The market prices contracted marine earnings and spot marine earnings as different assets, and so does this study.

B.2 Risk register

Risk	Mechanism	Rough valuation impact
The rate cycle turning faster than assumed	the base case glides to the mid-cycle anchor over four years; a faster reversion compresses the explicit years and the terminal return on capital together	the rate-anchor row spans AED 2.43 a share
The cost-of-equity construction	the share's own regressed beta against an asset-risk beta of one	AED 2.24 a share — the largest single item in the study
Customer and shareholder concentration	the parent is both the controlling shareholder and the principal customer; about 53% of 2026E revenue is contracted with it	not priced as a separate line. It cuts both ways: it is why the contracted multiple is defensible and why a renegotiation would be severe
Capital intensity	USD 3,865 million of capital expenditure over the first three forecast years against cumulative earnings of USD 5,815 million	the capital-expenditure row spans AED 1.45 a share
Tax policy	international shipping relief withdrawn or narrowed under the minimum top-up rules	AED 1.33 a share at a uniform 15%
The perpetual capital securities	they rank ahead of the ordinary shares and their treatment in the bridge is a judgement	AED 0.24 a share between the two treatments
Vessel values	no independent broker valuation of the fleet is available, so the asset lens rests on carrying value	one realised sale at 1.34× book suggests the bias is conservative; the size of it is unmeasured
Short price history	3.2 years of listed history constrains both the beta and the testing of the price map	addressed by corroborating the beta three ways and by resting the price map on the wider market panel

B.3 The research register — layers, dated, negative results included

Research for this study proceeded in four layers: the global backdrop, the country, the industry and the company itself. Company figures come only from the company's own issued statements and disclosures; no data vendor, broker or press report is used as the source of any reported historical figure. The full input-by-input register, with a value, a source, a date and a research layer for each of the several hundred inputs behind this study, is published as a separate document accompanying it. The primary documents are listed below, followed by the negative results — the things that could not be obtained, which shaped what could and could not be asserted.

Source	Layer	What it provided
Audited consolidated financial statements, four fiscal years to FY2025	Company	the whole of the reported income statement, balance sheet and cash flow, the operating segments note, the revenue-by-product note, the cost-line note, the borrowings and interest-rate notes and the share capital note
Reviewed condensed interim financial information, three months to 31 March 2026	Company	the balance sheet the valuation is built on, the perpetual securities note, the related-party facilities and the first-quarter segment result
Management discussion and analysis, FY2024, FY2025 and the first quarter of 2026	Company	net debt on the company's own definition, first-quarter free cash flow, the distribution policy and the medium-term leverage target
Investor presentations, FY2025 and April 2026	Company	the fleet tables, time-charter equivalent by vessel class by quarter, charters out, gas contract vessel-years, contracted revenue, the spot-exposure disclosure and the earnings sensitivity to a change of USD 1,000 a day
Earnings call transcripts, FY2025 and the first quarter of 2026	Company	the first-quarter rates achieved and the second-quarter indication that section 1.7 turns on, and the guidance basis quoted in section 1.6
Related-party transactions report, FY2025	Company	the scale and pricing of the parent relationship
Published country-risk file, January 2026	Country	the UAE equity risk premium, country premium and sovereign default spread

Source	Layer	What it provided
Central bank policy record and government bond auction results	Country	the base rate, its last change, and the dirham government bond yield used as the risk-free rate
Listed peer statistics pages	Industry	the three comparator multiples used in the relative lens, each dated
Trade coverage of the tanker market	Industry	the one-year time-charter fixture and the order book share used as the outside evidence in section 1.7
Exchange price history for the share and the Abu Dhabi panel	Market	the beta regression, the technical read and the price map

- **No independent vessel valuations could be obtained.** The sector-standard net-asset-value lens for a shipowner requires broker valuations of each vessel. None were reachable from this research environment. The book-value lens stands in, at the lowest weight of the four, and the single realised vessel sale disclosed by the company is the only direct evidence on the gap.
- **Per-vessel charter rates are not disclosed for the gas fleet.** The company discloses vessel-years by contract but not rates. The day rate of USD 61,573 used here is solved from reported FY2025 revenue over consolidated vessel-years — the finest level the disclosure supports, and labelled as solved throughout.
- **Quarterly rates are not disclosed for every class in every year.** Medium-range quarterly rates are absent for FY2024 and the handysize class is not broken out at all. The substitutions used are stated in section 1.7 and in the caveats.
- **Vessel-level running costs are not disclosed.** The USD 9,355 a day used is solved so that the owned fleet's charter-equivalent revenue less running cost reproduces the reported FY2025 result for the unit.
- **The UAE has no sovereign credit-default-swap entry in the country-risk file.** The alternative premium basis therefore cannot be built for this country, and the study says so rather than omitting the comparison silently. Gulf comparators that carry both bases show a gap of roughly seventy basis points between them, which is the scale of construction uncertainty a reader should attach to the single available figure.

Appendix C The expert valuation panel

Three valuation approaches are run against the same disclosed facts by three notional experts, each committed to a different method and each required to state in advance what would prove the method wrong. They are not asked to agree and they do not. All three work from the same unit build and the same balance sheet; what differs is what each one thinks a share of this company is a claim on.

C.1 Expert 1 — mid-cycle earnings power

Worldview: a business is worth a multiple of what it earns in a normal year. Cycles average out. Discount-rate models multiply small errors in the rate by very large terminal values and manufacture false precision — and in this particular case the discount-rate argument is unresolved, which is exactly why it should not be allowed to drive the answer. Find the mid-cycle earnings, apply a defensible multiple, stop.

When it works: for a business with a long enough record that a mid-cycle can be identified, and where the capital structure is stable. When it fails: when the multiple is imported from a market or a business model with a different cost of capital, and when the mid-cycle is guessed rather than measured. Here the second risk is real — this share has only 3.2 years of listed history and the fleet is in the strongest market in a decade, so the mid-cycle has to come from the forecast rather than from the record.

Line	Value
Mid-cycle earnings before interest, tax, depreciation and amortisation (USD mn) — the five-year average of the unit build	1,948
Less average depreciation and amortisation (USD mn)	(620)
Mid-cycle earnings before interest and tax (USD mn)	1,328
Less tax at the average unit rate (USD mn)	(57)
Less interest on the average gross debt (USD mn)	(76)
Plus finance income on the cash balance (USD mn)	25
Mid-cycle profit for the year (USD mn)	1,220
Less non-controlling interests at 8.8% (USD mn)	(107)
Less the perpetual securities coupon (USD mn)	(97)
Earnings to ordinary shareholders (USD mn)	1,016
Mid-cycle earnings per share (USD)	0.1373
Justified price-to-earnings multiple	12.0×
Fair value (AED per share)	6.05
Range (9.0× to 15.0×)	4.54 – 7.56

Named sensitivity: each single turn of the multiple is worth AED 0.50 a share, so the 9×-to-15× range above spans AED 3.03. And every USD 100 million of mid-cycle earnings before interest, tax, depreciation and amortisation — about 5.1% of the base — is worth roughly AED 0.54 a share at this multiple. Note what this method cannot see: it never asks what discount rate the multiple implies, so the beta argument that dominates the rest of this study is simply absent from it. That is the method's honest position, not an oversight.

Falsifier, stated in advance: Two consecutive years in which group earnings before interest, tax, depreciation and amortisation fall below USD 1.4 billion would show the mid-cycle level used here is set too high.

C.2 Expert 2 — owner cash earnings

Worldview: earnings are an opinion, cash is a fact. The only number that matters is what an owner could actually take out of the business each year after everything the business needs to keep running — including the capital expenditure that a fleet consumes and the coupon on securities that rank ahead of the owner. Capitalise that stream at the cost of equity and nothing else.

When it works: it is the right discipline for a capital-intensive business where reported profit and distributable cash diverge, which describes a shipowner precisely. When it fails: it undercharges nothing and overcharges growth — a company investing heavily ahead of contracted demand looks poor on this measure right up until the assets deliver, and this company is in exactly that phase.

Line	Value
Average free cash flow to the firm over the five forecast years (USD mn)	819
Less interest after tax (USD mn)	(69)
Plus finance income after tax (USD mn)	23
Less the perpetual securities coupon (USD mn)	(97)
Owner cash earnings (USD mn)	676
Grown one year and capitalised at the cost of equity less growth	$\times 1.02 \div (7.49\% - 2\%)$
Equity value (USD mn)	12,550
Fair value (AED per share)	6.23

Line	Value
Range — the low end at a cost of equity on a beta of one and lower growth, the high end at a lower country charge and higher growth	4.27 – 8.11

This expert lands at AED 6.23, below the study's own weighted central of AED 7.94, and the reason is specific: the five-year average free cash flow of USD 819 million is dragged down by the investment years. Free cash flow to the firm is USD 298 million in 2026E and USD 1,256 million in 2029E; averaging a business across a period when it is building the assets that produce the later number is a real charge against it. That is the method doing what it says it does, and it is why the range extends as high as AED 8.11.

Named sensitivity: this method is a single-stage capitalisation, so it is more sensitive to the cost of equity than anything else in the study. At a cost of equity on a beta of one — 8.93% instead of 7.49% — the same owner cash earnings capitalise to roughly AED 4.94 a share, a fall of about 21%. This expert is therefore the one most exposed to the study's central contested judgement, and says so.

Falsifier, stated in advance: A year in which free cash flow to the firm falls below the ordinary distribution plus the perpetual coupon, without a matching fall in capital expenditure, would break the annuity this rests on.

C.3 Expert 3 — cash returns against the cost of capital

Worldview: value is created only when the return on invested capital exceeds the cost of that capital, and the amount created is the spread multiplied by the capital employed. Growth without a positive spread destroys value; growth with one compounds it. Start from the capital already invested and add the present value of the economic profit earned on it — which forces the question of whether a very large newbuild programme is worth funding, rather than assuming it is.

When it works: it is the sharpest available test of a capital programme, and it makes the discount-rate question unavoidable instead of burying it in a terminal value. When it fails: it is acutely sensitive to how invested capital is measured, and a fleet carried at historical cost after a large acquisition is exactly the case where that measurement is least reliable.

Line	Value
Invested capital at the valuation date (USD mn) — the fleet, working capital, intangibles and goodwill	7,432
Present value of economic profit, the five explicit years (USD mn)	2,422
Present value of terminal economic profit (USD mn)	7,323
Enterprise value (USD mn)	17,177
Plus joint ventures, less net debt, the perpetual securities and minorities (USD mn)	(2,479)
Equity value (USD mn)	14,698
Fair value (AED per share)	7.30
Range — the low end fades the economic profit hard, the high end lets it persist	5.00 – 9.11

Year	2026E	2027E	2028E	2029E	2030E
Return on invested capital	15.2%	13.9%	13.5%	12.7%	11.7%
Cost of capital that year	7.15%	6.99%	6.83%	6.67%	6.51%
Spread	+7.8pp	+6.6pp	+6.2pp	+5.4pp	+4.4pp
Economic profit (USD mn)	658	607	613	546	443

This is the most revealing exhibit in the study. The spread is positive in every forecast year — the business earns 15% on capital in 2026E against a cost of 7% — and it narrows steadily as the rate cycle normalises and the capital

base grows. That is a company creating value throughout, but creating less of it each year, which is a very different picture from either a compounder or a value destroyer. Note the convention: the return divides by closing invested capital, matching Appendix A.3, while economic profit charges the cost of capital on the same closing base, so the two rows are internally consistent. Note also that this leg's enterprise value of USD 17,177 million differs from the cash-flow model's USD 19,891 million: economic-profit and cash-flow valuations are algebraically identical on identical assumptions, and the gap here is entirely the different terminal treatment — a fading economic-profit perpetuity against a reinvestment-funded terminal value. Expert 3 is therefore a restatement of the cash-flow model under a different terminal discipline, not independent confirmation of it, and is read as such.

Named sensitivity: a one-percentage-point parallel reduction in the cost-of-capital schedule widens the spread in every year and lifts this valuation by roughly a fifth; the same move in the opposite direction takes it below the market price. Nothing in the operating build has a comparable effect on this method, which is the point it is making.

Falsifier, stated in advance: A return on invested capital that settles below the cost of capital for two consecutive years would remove the premium to invested capital this method rests on entirely.

C.4 Cross-examination

Challenge	From	Conceded or rejected
"Your multiple is a discount rate you have not written down. On mid-cycle earnings and this share count it implies a cost of equity near the low end of the range the rest of this study is arguing about — you have silently taken a side."	Expert 3 to Expert 1	Conceded. The multiple is a judgement and it does embed a cost of capital. The defence is only that it embeds one drawn from what comparable marine assets actually trade at rather than from a regression on three years of data. That is a weaker claim than the method usually makes, and it is the weakest joint in this leg.
"Averaging free cash flow across the five years charges the owner for a newbuild programme that is contracted and will earn. You are treating investment as if it were consumption."	Expert 1 to Expert 2	Partly conceded. Free cash flow rises from USD 298 million to USD 1,256 million as the programme delivers, so the average does understate the steady state. Rejected in part, though: the fleet is not a one-off build. Maintenance capital and fleet renewal recur, and every previous cycle in this industry has been ended by exactly the kind of ordering this programme is part of.
"Invested capital carries a fleet acquired at the top of a cycle at historical cost. If it is understated your spread is flattered; if it is overstated your whole method collapses toward book."	Expert 2 to Expert 3	Conceded, and the direction is disclosed. The one piece of evidence available points the other way — a vessel sold at 1.34× carrying value — which means invested capital is more likely understated and the measured return correspondingly flattered. That makes this leg's spread optimistic, not conservative, and it is stated here rather than left for a reader to find.
"All three of you are arguing about the numerator. The number that actually decides this valuation is the beta, and only one of you prices it."	The panel to itself	Accepted as the central unresolved issue, and it is why the panel divides the way it does. Expert 1 never touches it. Expert 2 is fully exposed to it, which is why its range spans AED 3.84. Expert 3 prices it year by year and finds that the spread stays positive on either construction, which is the one useful thing the panel can say about it: the business creates value at both costs of capital — the argument is only about how much.

C.5 The three in one room

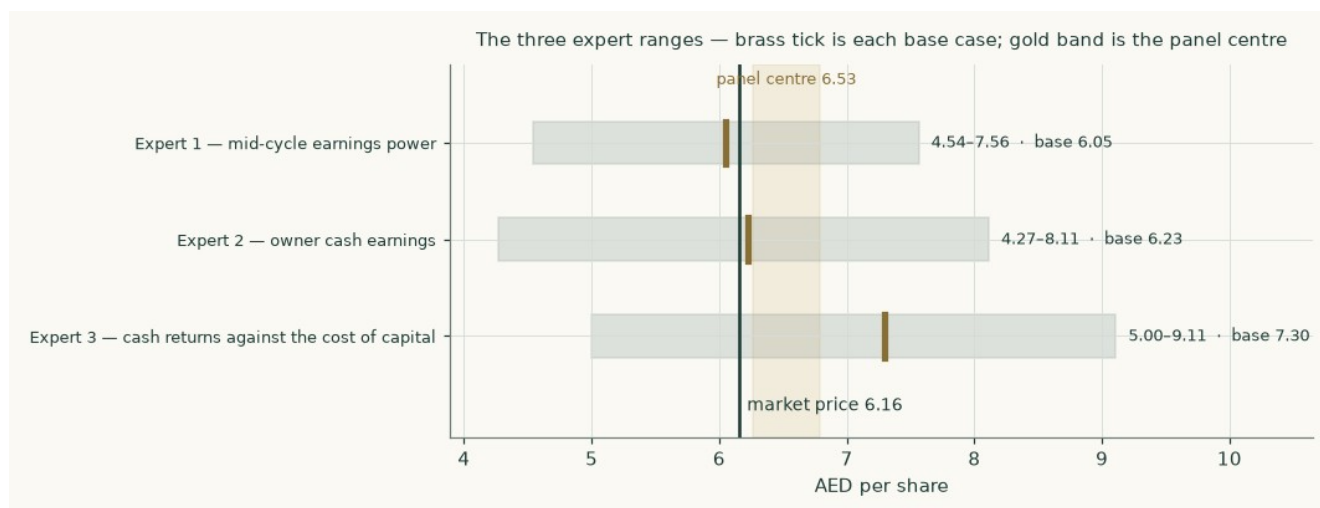


Figure 9 — the three experts' ranges. The brass tick is each base case, the gold band the panel centre of AED 6.53, the vertical line the market price of AED 6.16.

The panel spans AED 6.05 to 7.30 — a factor of 1.21 between the most and least generous base case, which is a narrow disagreement by the standards of this series. That narrowness is itself informative: three methods that share almost nothing methodologically land within AED 1.24 of one another, and all three land near the market price rather than near this study's own weighted central of AED 7.94.

The panel centre of AED 6.53 sits +6% against the market price and -18% against the study's own own-beta central. That gap is real and it has a single explanation: every one of the three experts works from mid-cycle or five-year-average earnings, and none of them capitalises a terminal value the way the cash-flow model does. The cash-flow model puts 84% of its enterprise value beyond the fifth year; the panel puts effectively none there. A reader who distrusts long terminal values should weight the panel; a reader who believes a contracted marine infrastructure business has a long life beyond a five-year window should weight the model. Both positions are defensible and the gap between them is stated at full size rather than smoothed.

C.6 Reading the divergence

Assumption	Expert 1	Expert 2	Expert 3	Why it swings the answer
Capital expenditure	ignored — an earnings measure	charged in full, averaged across the build years	charged through invested capital and the return on it	the largest single source of the gap between Experts 1 and 2
The cost of equity	implicit inside the multiple, never stated	7.49% explicit, and the whole answer moves with it	the full glide, year by year, on both sides of the spread	Expert 2 is fully exposed, Expert 1 not at all — which is why they can agree on a number for entirely different reasons
Terminal value	none — no perpetuity at all	a single perpetuity of owner cash earnings	a fading economic-profit perpetuity	the cash-flow model puts 84% of its value beyond year five; none of the three does, which is most of why the panel sits below the study's central
The rate cycle	averaged into the mid-cycle earnings	averaged into the five-year cash flow	visible year by year in the narrowing spread	only Expert 3 lets the reader see the cycle turning rather than absorbing it into an average

Assumption	Expert 1	Expert 2	Expert 3	Why it swings the answer
The perpetual securities	charged as a coupon against earnings	charged as a coupon against cash	deducted at carrying value in the bridge	the two treatments differ by AED 0.24 a share in the main model

The instruction to the reader is not to average these three. It is to decide which premise is true — whether a fleet's investment years should be charged against its owner, whether a marine business has value beyond a five-year window, and which cost of equity applies — and then to use the corresponding number. The disagreement is a map of what you need to have a view on.

About this series

This series publishes independent, educational valuation studies of listed companies. Each study is built from the company's own disclosed financial statements and named market data, states its assumptions explicitly, computes every figure in an auditable model rather than in prose, and publishes the ranges those assumptions produce. Studies never carry a recommendation or a forecast of the share price. Where a figure is estimated or solved rather than disclosed, it is labelled. Where a source could not be reached, the gap is recorded rather than filled.

Where a judgement has two legitimate constructions, both are computed and both are published side by side. This study does that twice: for the cost of equity, which is the largest single item in it, and for the treatment of the perpetual capital securities. Neither pair is averaged, because an average of two constructions is a number that neither construction supports.

The probabilistic price map in section 3 is produced by a volatility model that is tested by walk-forward simulation against a random-walk benchmark before it is allowed to publish a range. It describes price dispersion and carries no view on value. It is never combined with the fair-value work.

Disclosure and disclaimer

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